The opinion polls called it right with sweeping victories for the Democrats in the midterm elections. The key question is whether the president will look to secure deals or whether gridlock on the domestic front will force him to look outwards

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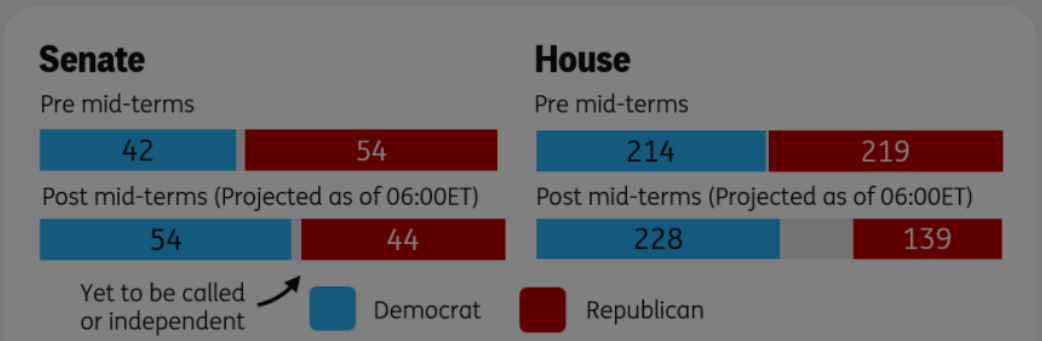
The results are in and it's a big Democratic victory

With most votes counted, it's clear the Democrats have secured a decisive victory in the US midterms, claiming majorities in both the Senate and House of Representatives. Though this outcome had become the consensus in recent weeks, the scale of the Democratic victory in the Senate in particular is noteworthy. Wins in Texas, but also in less expected states like South Carolina, Kansas and Iowa,

symbolise a major shift in American political opinion since the last election in 2024.

US midterm results (as of 06:00 ET)



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Source: New York Times, ING

Dealmaker-in-Chief or Mr Veto?

The Republican majorities in the House and Senate in the first half of Trump's presidential term allowed him to sign the One Big Beautiful Bill Act into law in July 2025. Other legislation included the Laken Riley Act, which tightened immigration and border policy, the GENIUS Act, which created a regulatory structure for stablecoins, the HALT Fentanyl Act on drugs and the TAKE IT DOWN Act on online regulation.

The obvious outcome from the result on Tuesday is that a Democrat-controlled Congress will stifle President Trump's domestic agenda in his final two years in power. A bill has to be approved by both the House and the Senate before being passed on to the president to sign or veto. With the Democrats having control of the legislative agenda in the House and Senate, the president has already warned that he will likely become "Mr Veto". The only way to overcome that would be for the Democrats to secure a two-thirds supermajority in both houses. That isn't the case after last night's results.

The consequence is that spending and tax proposals, as with most d
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October's shutdown, which depressed GDP growth in 4Q 2025 by a full percentage point. The Federal Reserve risks "flying blind" again with no government economic statistics being collated or released.

What the Democrats can seek to achieve

Key sectors of corporate America will be nervous that Democratic control of important oversight committees could bring greater scrutiny. More congressional hearings involving AI and technology business leaders would be a likely outcome, while a strong performance at the ballot box may embolden local Democratic

leaders to try to stall unpopular data centre construction in their constituencies. Fossil fuel producers may face similar challenges.

Democrats will likely feel even more confident about pushing back against President Trump's policies on Iran, support of Israel and any escalation of tariffs. They may apply more pressure on the president to sound tougher towards Russia and to provide support to Ukraine, but the final call will remain with the president.

Investigations into President Trump, his family and members of his administration may also be stepped up as Democrats exercise their greater powers. Inquiries into finances and business dealings could re
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What will the president do?

A key question is whether a constrained President Trump, entering the final phase of his tenure, becomes more willing to accept political or market disruption in pursuit of his objectives.

If there is little sense of any compromise, the ensuing gridlock in Congress would leave the president to focus on areas where he can exercise executive power: 1) foreign policy and diplomacy, including trade policy, 2) national security and defence, 3) law enforcement and regulatory policy, 4) personnel appointments (subject to Senate approval), and 5) administration and management policy.

This suggests Iran, Russia/Ukraine and tariffs/trade policy are likely to be the focus for the president. Tariff policy could increasingly be used to incentivise foreign partners to align with US foreign policy objectives, for example by pressuring NATO members to increase defence spending.

More fundamentally, heavy defeats in the House and Senate will be interpreted as a referendum on President Trump's policies and potentially prompt figures within the Republican Party to take the view that it is time to open the debate on its future direction. With Trump's influence set to fade, leading lights within the party, most notably JD Vance and Marco Rubio, may attempt to shore up

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marginal, given the risk that tariffs also push inflation higher. Overall, we retain a bias towards the 10-year yield heading towards 5.25%.

The dollar is softer on the outcome, though it has recovered from its lows seen in early Asia when a sharp fall in Nasdaq futures was warning of a larger re-pricing of the tech story. Nasdaq futures have since retraced the majority of those losses. Limiting a larger dollar correction on this news is probably a still-resilient US economy and at least one more rate hike from the Federal Reserve. The dollar could see a little more weakness into 2027, however, if an

emboldened Democratic Party takes greater issue with Republican policy, including deregulation and the AI build-out. And the potential for a prolonged government shutdown in mid-2027 adds to the case for a weaker dollar next summer.

What it means for Europe and China

With the outcome of the vote limiting President Trump's options at home, he is likely to focus more heavily on foreign and trade policy. The result could be greater volatility and uncertainty for the global economy.

This will clearly affect Europe. A forced deal between Russia and U
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the president's patience and slow the pace of defence spending increases, particularly given their own fiscal constraints. Alternatively, and less likely, a stifled but less angry Trump administration could try to bring the wars in Iran and Ukraine to an end. Constrained by Congress and the Supreme Court on trade, it could ultimately, intentionally or otherwise, end up indirectly supporting the European economy.

China's main response will be to wait and see, as it will react to actual policy changes rather than the shifts within Congress. The

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main potential trigger points would be Taiwan arms sales, tariffs and other trade/investment restrictions.

Personal ties between the two leaders appear good, but with President Trump's policy focus being channelled towards foreign and trade policy, China could end up in the crosshairs again. The trade truce is set to expire in January, and it seems like both sides are not interested in going back to the mutually destructive peak tariff scenario we had in 2025, but it cannot be ruled out. As with Europe, if Trump appears weakened by the outcome of the midterms, China could sense that it is time to start looking beyond 2028, triggering a revaluation of its long-term US strategy.

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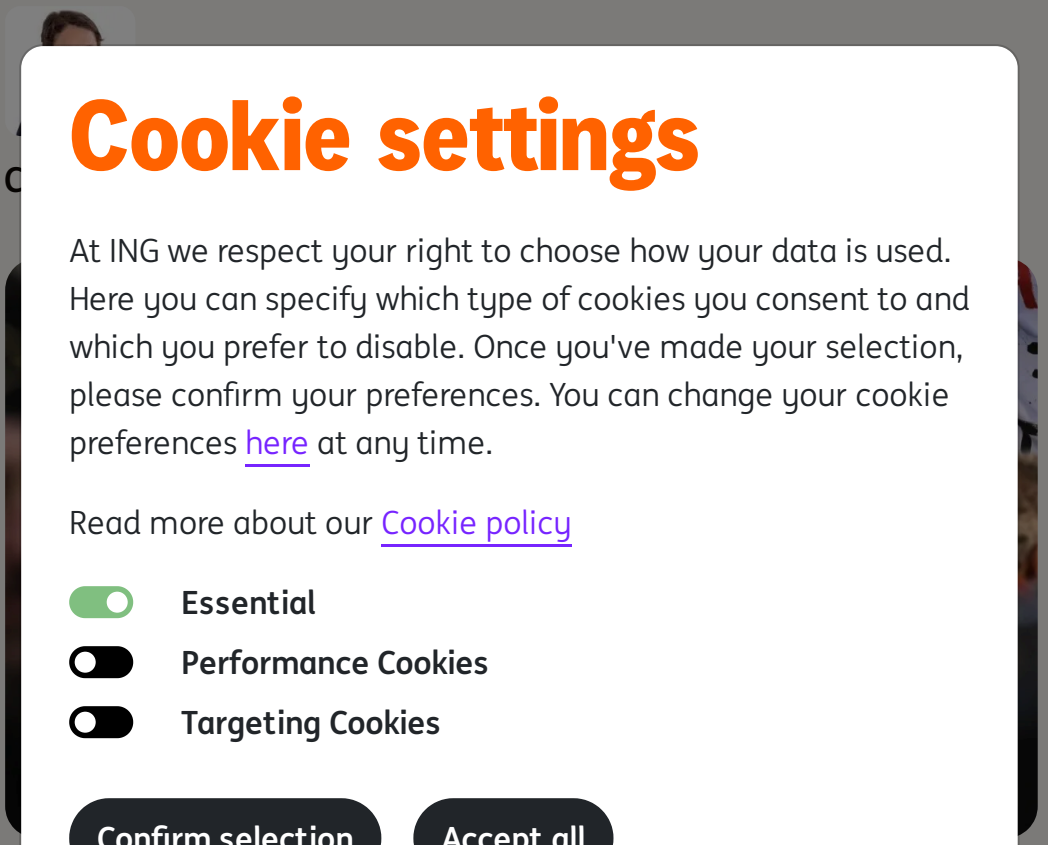
Thursday's nationwide mobilisation over wages and purchasing power will add pressure on a French government already struggling with weak growth, a fragile labour market and an increasingly unmanageable budget. Its options for responding to social discontent are narrowing as higher borrowing costs further weaken the outlook for public debt



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Pressure mounts for action on purchasing power

What began as a student-led protest has grown into a broader social movement, adding to the government's challenges as it struggles to get its 2027 budget through parliament.

The mobilisation continued during the school holidays, with between 320,000 and 500,000 people taking to the streets last Saturday, fewer than in previous weeks but hardly the pause the

government had hoped for. The next test will come on Thursday, 5 November, when all the main trade unions will mobilise over wages and purchasing power, with students and public sector workers expected to join the protests.

Under pressure, the government is considering raising the minimum wage by more than the automatic increase of around 1% due in January, possibly adding another 0.5 to 0.6 percentage points. This would be the first discretionary increase since 2012. But employers are strongly opposed, as they are already facing higher labour costs through planned cuts to social contribution exemptions. A further rise in the minimum wage could therefore e
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Budget talks are producing a larger deficit, not a solution

These pressures are making an already difficult budget equation even harder to solve. After 10 full days of debate and more than 2,300 amendments examined, France's 2027 budget discussions appear to be going nowhere, except towards a larger deficit than the government intended. While the government aims to reduce the deficit to 5% of GDP in 2027, after an expected 5.4% in 2026, the measures approved so far have pushed it substantially further off course. According to the Finance Ministry, the amendments adopted during the first reading have already worsened the

projected deficit by €23.9bn (total deficit in 2026 will be around €165bn).

The vote on the revenue part has been postponed again, as MPs continue to adopt measures pointing in all directions. Yet the exercise increasingly makes little sense: the fragmented National Assembly is unlikely to approve the budget, leaving the government with two possible escape routes. It could use Article 49.3 to pass the bill without a vote, but would first need to negotiate with parts of the opposition to ensure that a subsequent no-confidence motion fails. For now, there are few signs of such talks. If the motion passed, the government would fall and the b
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hovering close to recession.

The details of the third-quarter figure were also weak: investment fell by 0.6% and net trade subtracted 0.6 percentage points from growth as exports dropped sharply, while inventories provided a temporary offset. The only real positive surprise came from household consumption, which rose by 0.4%. But there is little reason to expect this momentum to last. Consumer confidence fell by five points to 80 in October, its lowest level since June 2013 and well below its long-term average of 100. Households' assessment of whether this is a good time to make major purchases dropped

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sharply, while fears of unemployment increased. Most strikingly, their assessment of living standards fell to its lowest level since the survey began in October 1972. This points to much weaker consumption in the coming months.

The outlook for investment is equally weak. Financing conditions are deteriorating particularly sharply in France: according to the latest ECB Bank Lending Survey, a net 27% of French banks tightened credit standards for businesses in the third quarter, compared with around 8% in Germany, no tightening in Spain and an easing in Italy. Together with weak demand, higher interest rates and uncertainty over taxes and public spending, this is likely t

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uncomfortable. The government had expected public debt to reach 121.7% of GDP in 2027, already a level at which a 5% deficit would be insufficient to stabilise the debt ratio. With growth now likely to be weaker and the deficit higher than assumed in the budget, debt will probably rise even further, and there is little prospect of stabilisation anytime soon.

The sharp rise in borrowing costs only makes the arithmetic worse. The French 10-year yield is currently around 4.9%, more than 155bp above its German equivalent, compared with a spread of around 70bp at the end of 2025. Admittedly, the increase in market

yields feeds only gradually into the effective cost of the debt as existing bonds mature: the implicit interest rate on French public debt is still around 2.2% in 2026. But this also means that a substantial part of the rise in interest costs has yet to come through. Fitch estimates that France would need to reduce its primary deficit from around 2.9% of GDP this year to just 0.4% to stabilise the debt ratio. The adjustment required would become considerably larger if the effective interest rate on the debt gradually converged towards current market yields.

And the 2027 presidential election is unlikely to provide an easy reset. A new president could again find her or himself without a

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simultaneously easing the pressure on the public finances, the government has very limited room to offer measures large enough to make a meaningful difference without making an already worrying fiscal trajectory even worse.

Strikes | Public finances | GDP | France | Eurozone | Deficit

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The National Bank of Poland (NBP) kept rates unchanged in November despite a sharp upgrade to its 2027 inflation forecast. With the price shock still manifesting in energy and limited signs of second-round effects, we think the NBP can afford to wait, with any rate hikes unlikely before early 2027

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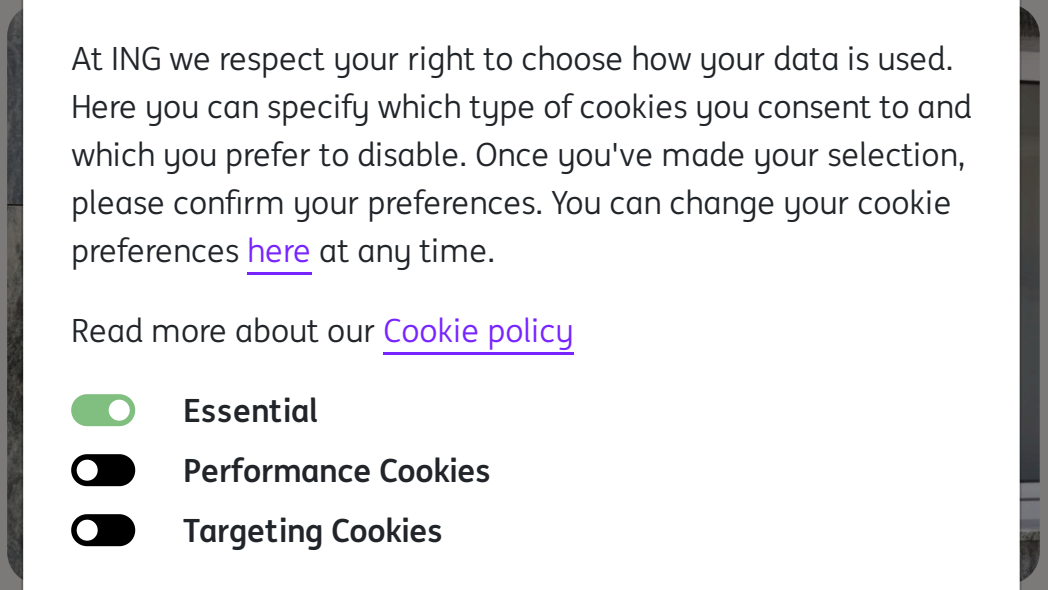

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NBP leaves rates unchanged despite high inflation expected in 2027

In line with our and market expectations, the Monetary Policy Council (MPC) left the National Bank of Poland's interest rates unchanged in November. The reference rate remains at 3.75%. We did not share market expectations regarding the scale of rate hikes that were previously priced in, with the yield curve at some point pricing 125bp of tightening and a first hike as early as November.

Little change in the MPC statement

The tone of the MPC's statement accompanying the decision was unchanged from October. The Council repeated the final two paragraphs without any changes. It again noted that future decisions would depend on incoming information on the outlook for inflation and economic activity in Poland.

The list of risk factors was also unchanged, covering fiscal policy, regulated energy prices, the economic outlook and wage growth. The MPC noted that available data point to a slowdown in GDP growth in 3Q26, as well as a decline in core inflation in October. According to our forecasts, GDP growth eased to 3.4% year-on-year in the third quarter from 4.1% YoY in the second quarter.

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With a 50% probability, annual CPI inflation is projected at around 3.2% in 2026, around 4.2% in 2027 and around 2.9% in 2028, compared with 2.9%, 2.7% and 2.2%, respectively, in the July projection. Annual GDP growth, with a 50% probability, is projected at around 3.7% in 2026, around 2.9% in 2027 and around 2.8% in 2028. The July projection put the corresponding figures at 3.7%, 2.8% and 3.0%.

Inflation breakdown shows no signs of broad-based pressure or second-round

effects

Inflation developments in Poland so far point to a pure supply-side shock that is affecting energy prices and the prices of goods and services closely linked to energy, but there are no signs of broader price pressures spilling over across the economy. Nor do we currently see evidence of second-round effects.

Wage pressure is subdued, while slowing wage growth combined with higher fuel spending is weighing on households' real disposable incomes. At the same time, the propensity to save remains elevated, creating a demand constraint that makes it h
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rate hikes will come no earlier than 1Q27, with a cumulative 50bp increase in rates. The latest inflation projection supports this scenario.

We see several important arguments in favour of rate hikes early next year. The longer the energy crisis persists, the greater the risk of broader price pressures emerging across the economy, something the central bank will want to contain. In addition, the new year could bring substantial increases in regulated prices for households, particularly gas prices, potentially shifting the inflation path higher, although the government has declared its readiness to

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intervene. Furthermore, additional monetary tightening by major central banks, including the Federal Reserve and the European Central Bank, could increase depreciation pressure on the Polish zloty, raising import costs and potentially boosting inflation. Estimates suggest, however, that the exchange-rate pass-through to inflation in Poland is limited.

Whether the rate hikes we expect in early 2027 materialise will also depend on the durability of the correction in commodity markets. We still cannot be certain that the decline in energy prices will prove lasting. It may reflect a response to the weakening of President Trump's political position following the midterm elections in the US,

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THINK Economic and Financial Analysis

Rates Outlook 2027

November 2026

The Good, the Bad and the Ugly

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The Good the Bad and the Ugly for Rates in 2027

The spaghetti-western title neatly captures the three big forces shaping long-end rates: the 'good' of AI-driven productivity, the 'bad' of elevated fiscal deficits, and the 'ugly' of renewed inflationary pressure from ongoing wars. By the middle of 2027, however, things should start to look a little less ugly as inflation falls

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The good, the bad and the ugly: AI, fiscal deficits and inflation take centre stage in the 2027 rates outlook

Key calls and themes and 2027

US rates and a triple whammy of obstacles to overcome

In the US, our baseline view centres on the good, the bad and the ugly causing trouble in the coming months, and right through the first quarter of 2027 at least, to prompt a return of the 10yr US Treasury yield to the 5.25%-plus area (vs 4.9% currently). We'd cap the absolute upside at 5.5%, as waiting later in 2027 is a 2%-plus handle for GDP growth and inflation, alongside a stable but not worsening debt dynamic narrative. The fall in inflation here is key, as that allows the Federal Reserve to step away and for the market to re-discount cuts. That allows long-dated yields to edge back down, with the 10yr targeting 4.75% for starters and likely settling in the 4.5-4.75% zone, which is still above normal, but rightfully so. We don't call for it, but a decision to materially cut long-end Treasury funding would push in the same direction.

Euro rates have good reason to be nervous

For euro rates, we also expect a bumpy ride at the start of 2027, whereby markets anxiously weigh each inflation reading for signs of second-round effects. If all goes well, we should see a significant repricing of the European Central Bank path, helping the 2yr EUR swap rate down by some 50bp. The 10yr rate will be stickier, however, as a global rise in real rates adds upward pressure to longer euro rates. If inflation does not ease as hoped, then we could see a stretch higher in rates from here. In such a scenario, the 10yr swap rate could push well above 4%.

European bond spreads in a duel with the "bad"

Fiscal strains and election risk are putting eurozone bonds to the test. France is the key fault line, while Bunds' safe-haven appeal masks mounting supply pressures. We see a turbulent first half of 2027, and any relief hinges on a credible path to French fiscal consolidation

A delayed landing for GBP rates

Sterling rates are well above levels we consider fair value, but trauma from turning too dovish too quickly is still on investors' minds. Only once the Bank of England can prove its ability to bring inflation closer to target (by the end of 2027) do we pencil in a significant repricing lower for GBP rates. Relatively high sensitivity to US rates means we don't expect the path lower to be a smooth one. And with gilt markets increasingly reliant on risk-sensitive investors, we think a material term risk premium remains justified.

The grand Dutch pension reforms finale

Dutch pension reforms are reaching their finale as almost €900bn of assets are scheduled to transition in January 2027. The reforms should keep the 10s30s euro swap curve structurally steeper, but macro will continue to be the main driver of the curve for now. Under the new system, we expect more swap flows throughout the year as the need for interest rate hedges moves in tandem with asset prices (i.e. equities).

US rates and a triple whammy of obstacles to overcome

The good (AI), the bad (deficits) and the ugly (inflation) extend well beyond the US, with similar dynamics at play in France, Japan and the UK. While our focus here is the US, many of the same themes apply elsewhere. We think it will prove tough to shake off these impulses through the end of 2026 and into the first quarter of 2027

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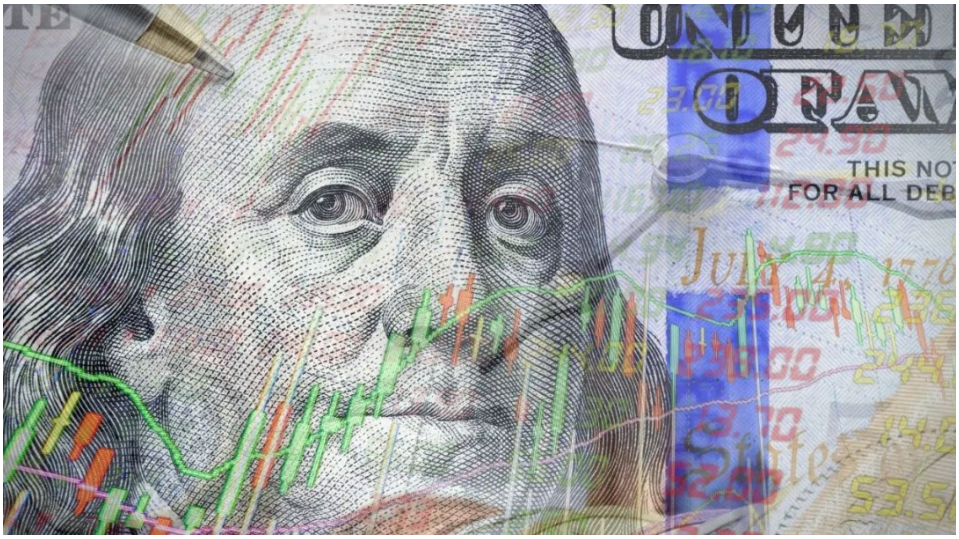
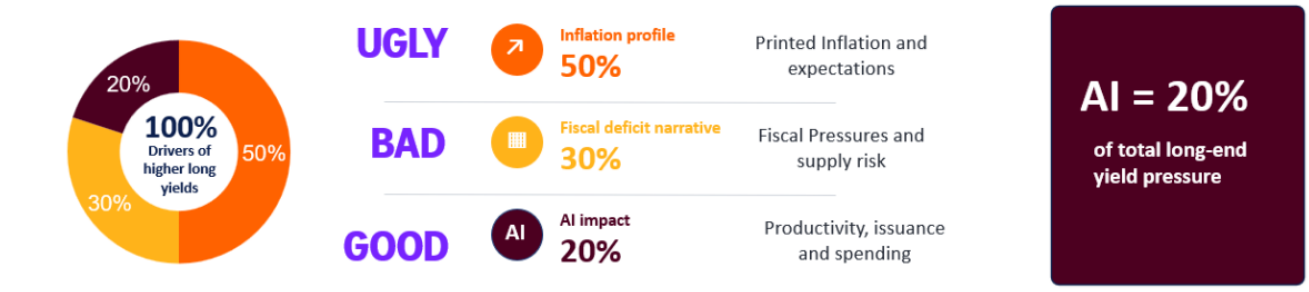


We see the US 10yr yield at about 5.25% in the first part of 2027 and possibly 5.50% before falling to 4.50-4.75% later in the year as inflation is expected to drop

We expect the 10yr Treasury yield to remain under upward pressure into the first quarter of 2027. AI-driven productivity growth, elevated fiscal deficits and sticky inflation are capable of pushing it back towards 5.25%, and potentially as high as 5.5%. A material constraining factor would be the US Treasury cutting long-end funding; see more on that scenario here.

Looking beyond the first quarter, we identify a key shift in inflation dynamics as a dominant factor. Specifically, the direction should reverse later in 2027 as inflation eases and the market starts to re-discount Federal Reserve rate cuts, ultimately taking the 10yr towards the 4.5-4.75% area. But we should not jump to that too early, especially with upward pressure on inflation still very much in focus as we head into 2027.

The drivers of long tenor rates



Source: Macrobond, ING estimates

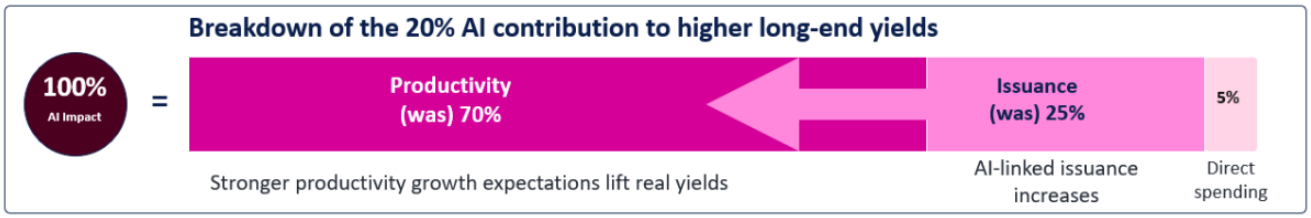
Let's break this out, starting with the 'good' (not all rate increases are for sinister reasons).

The good – AI-sparked productivity growth (and issuance)

We link the AI angle with productivity growth. We continue to view this as highly impactful for market rates, although not as much as the combination of inflation and the fiscal deficit. But we think productivity growth has been a significant driver of the previous elevation in real yields, and for 2027 it remains very impactful.

The nuance for 2027 is that we run the risk that AI-related issuance pressure begins to eclipse AI-driven productivity growth. We had significant issuance throughout 2026. It was novel at first, and mostly well absorbed. But as the stock of outstanding debt increases further, its crowding-out effect becomes more structurally impactful.

The AI impact is still about a fifth, but issuance impact is on the rise

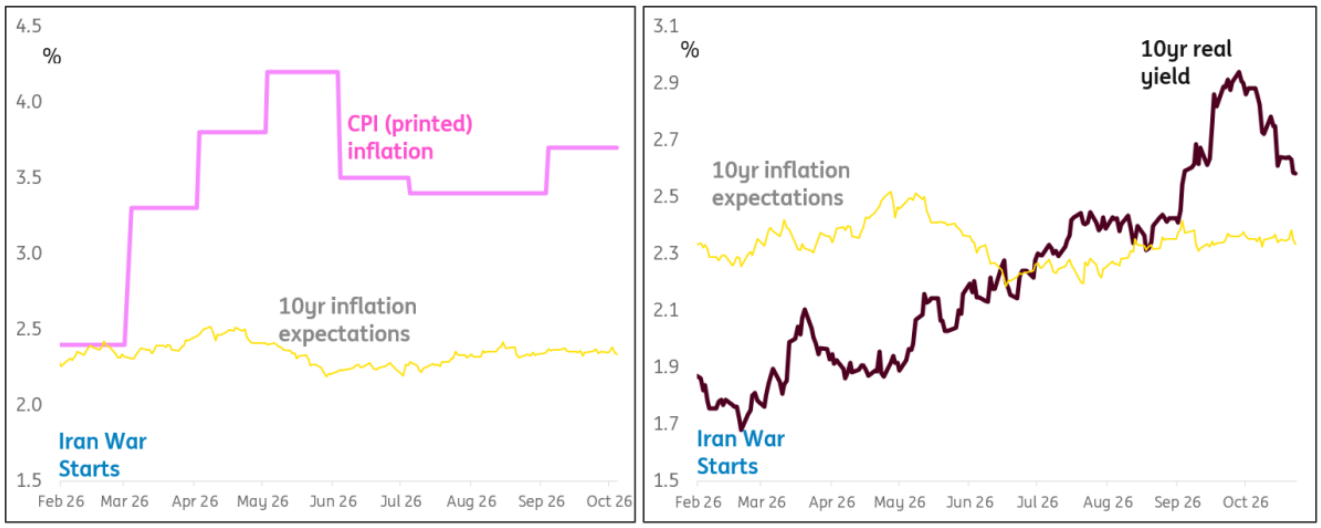


Source: Macrobond, ING estimates

The real yield is very important as a key driver of nominal yields. Inflation expectations, as measured by the 10yr Treasury yield minus the 10yr real yield on inflation-protected securities, do not typically engage in big directional swings. It's the real yield that does that. Productivity growth has always been a contributing factor. But of late, the AI revolution has added an impulse.

We're also of the opinion that higher printed inflation shows up partly in the real yield in the guise of an added term premium. On top of that, the fiscal deficit has a similar effect, through its influence on the supply of Treasuries. It also affects demand for Treasuries through the prism of investors' perception of the Treasury product and the price they are willing to pay for it.

Printed inflation vs 10yr inflation expectations and real yield



Source: Macrobond, ING estimates

There is a lot going on here, but the bottom line is that where the real yield goes, the nominal Treasury yield goes. And for 2027, a combination of productivity growth, deficit pressure and a stretch in the term premium continues to place upward pressure on the real yield.

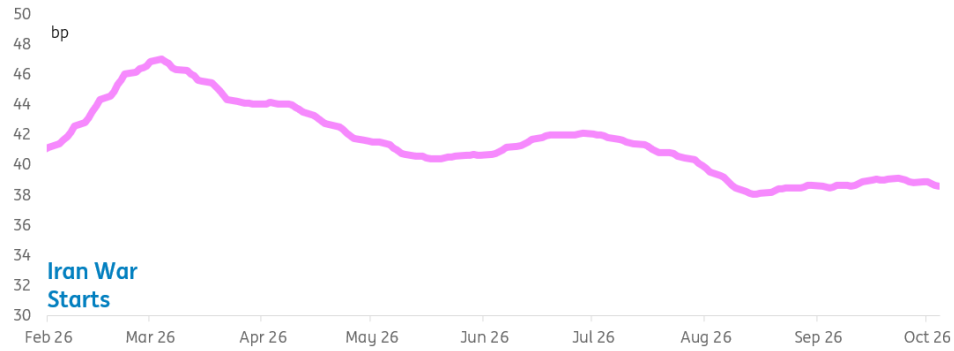
The bad – elevated fiscal deficit(s)

Fiscal deficits are not going to magically solve themselves in the coming months. So, the year ahead will remain a year of concern for debt dynamics. There is quite a degree of gradualism in play, which mutes reactions. But as we saw with Greece a decade and a half ago, the market can quickly jump to a state where debt dynamics suddenly become unpalatable, long before we actually hit a tipping point. Policy stasis is a real problem here, as it leaves a vacuum for bond markets to dip into whenever deemed appropriate.

For this reason, the tame evolution of US swap spreads is worth commenting on. In part, it reflects Treasury Secretary Bessent's increase in long-end buybacks, with the implied threat of more. Moreover, it's been bolstered by fast-money players taking advantage of an implied cap on swap spreads, through longs in Treasuries and payers in swaps. The upshot has been a further tightening in US swap spreads.

US 10yr Swap Spread

10yr Treasury yield minus 10yr SOFR rate



Source: Macrobond, ING estimates

Barring an aggressive Treasury decision to cancel some long-end auctions and/or add to buybacks, we'd prefer to fade this move. We think that swap spreads should come under re-widening pressure as a theme through 2027, or at least through the first quarter. We think the 10yr swap spread can revert to the 50bp-plus area for starters (now below 40bp). And the 30yr can move back up to 75bp, at least.

But again, as intimated above, a material reduction in long-end Treasury issuance would provide a pathway to tempering the direct negative effects associated with the fiscal deficit narrative. Our impression is there is no huge urgency to do so, especially given the relative tameness of swap spreads currently. But then again, this is at the whim of the Treasury Secretary in the end.

The ugly – inflation sparked the sell-off (but is also the most likely route for a reversal)

On inflation, we assert that the spark for the sell-off in bonds in February 2026 was the Iran war. The key element is elevated printed inflation. Later in the year, a key swing factor will be our expectation for inflation to fall back to acceptable levels. Once there, markets will sense that central bank rate hikes have concluded. The subsequent path of least resistance will see rate cuts discounted, on the theory that we have peaked and that the landing level is deemed to be above neutrality. This is big, as the current market has not yet discounted a material subsequent rate cut process. Re-pricing one automatically drags longer-dated swap rates lower, at the very least, as these are present valuations of the forward profile for floating rates.

hat all being said, herein also lies the biggest risk case for 2027 – that inflation does not ease enough to comfort central banks, or indeed bond markets. The current market discount appears to have this as an elevated risk factor. We glean this from the implied elevated discount for central bank rates. Longer-tenor market inflation expectations are,

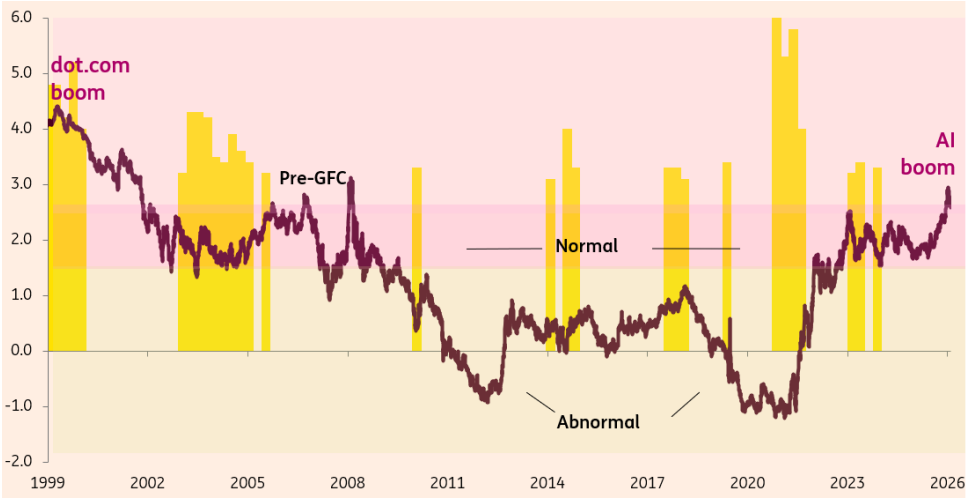
in fact, quite benign. But we suspect that these are not necessarily providing us with a solid steer on inflation risks for 2027 specifically. In this more bearish case, bond markets don't get to a state of relief. That is also why we don't want to play the bond-bullish game too early in 2027.

Are we going to 6% for the 10yr? Probably not, but here is how it could happen (easily)

While we've put the drivers neatly into different buckets, the reality is that they are all acting in unison. We bond nerds will, of course, go heavy on real rates being the dominant driver, which remains technically true to date. But the genesis of higher real rates is no big mystery. There has in large part been a move away from unusually low (to negative) post-pandemic levels to above-normal ones today. And we should be above normal, given that we have elevated inflation, elevated fiscal deficits (and the AI angle).

The US 10yr real yield through the cycles

Will the AI boom echo the dotcom boom with growth and a 4% real yield?



Source: Macrobond, ING estimates

Wondering what's normal for the 10yr nominal yield? See it here – we called this literally years ago.

The question is, should or could long-dated yields push higher from here? The answer is yes, they could. There are three routes.

1) **Route one is GDP growth heading to 3-4%,** akin to what we saw during the dotcom boom. That could coax the 10yr real yield from below 3% currently, up towards 4%. That would mean the 10yr Treasury yield heads to 6%.

2) **Route two is the fiscal deficit getting materially worse.** Remember, it's been in the 6-6.5% range for about three years. Not good, but not getting worse. But what if it shot to the 7-8% zone? We don't call for it. Get there, and again, we find a route to 6%.

3) **Route three is one we've alluded to already: inflation remains sticky in the 3% area and does not get lower**, much to the frustration of the Federal Reserve. Or it gets worse, because of a severe El Niño effect, for example. Again, there is a path to 6%.

We're not calling for any of these. But they are all entirely plausible with uncomfortably high probabilities. Instead, though, our central view is more driven by stability in growth and the deficit and an easing in inflation as we progress through 2027.

Our baseline view targets 5.25-5.5% (and then 4.5-4.75% later in the year)

Our baseline view centres on the good, the bad and the ugly causing enough trouble in the coming months, and right through the first quarter of 2027 at least, to prompt a return to the 5.25%-plus area (vs 4.9% currently). We'd be tempted to cap the upside at 5.5%, given that by 2027 the backdrop is likely to feature GDP growth and inflation both settling into a 2%-plus range, alongside a stable rather than deteriorating debt narrative.

The drop in inflation here is key, as that allows the Federal Reserve to step away and for the market to re-discount cuts. That in turn allows long-dated yields to edge lower, with the 10yr targeting 4.75% for starters and likely settling in the 4.5-4.75% zone. This is still above normal, but rightly so.

The one big unknown is what the US Treasury might decide to make ad hoc changes. We assume nothing big. But a decision to materially reduce long-dated issuance sizes would be big, for example. Our baseline view is that such a measure is reserved for a period of market stress or systemic threat, where de facto yield curve control might be an option. Again, not what we expect.

Euro rates have good reason to be nervous

Easing inflation fears should bring euro rates down by mid-2027, but the path lower will be bumpy. We shift our attention from oil to inflation data and expect markets to react anxiously to upside surprises. Rising bond issuance outside the US government and AI could catch markets by surprise, but that is not our base case

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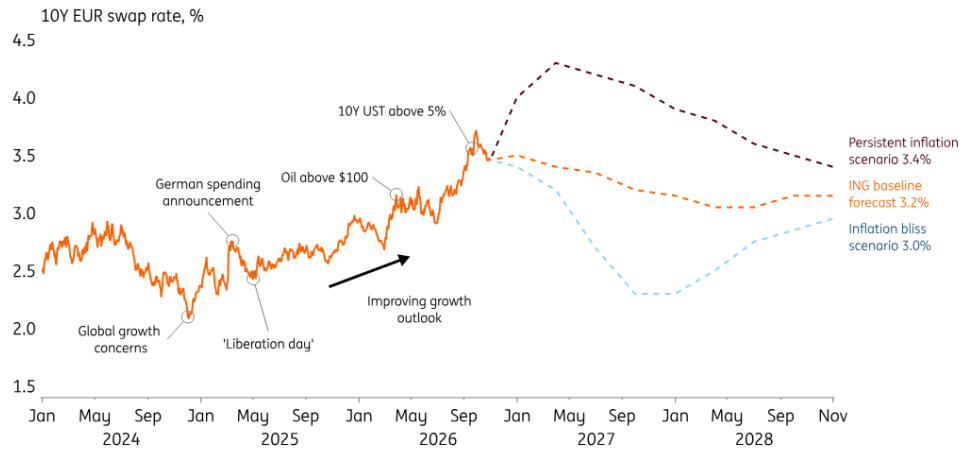
We see substantial near-term upside risk to euro rates but a more constructive year-end outlook

Last year's outlook was all about a stabilisation of euro rates, and boy, were we wrong. For 2027, we have no illusions of a calm ride. Our 2027 euro rates view combines substantial near-term upside risk with a more constructive year-end outlook.

Ugly second-round inflation fears could push the 10-year euro swap rate above 4%, while faster disinflation could take it towards 2%. Our baseline is that inflation pressures ease and the ECB terminal rate anchors near 2.5% by the end of 2027, although heavy global bond supply should keep long-dated rates relatively elevated.

Inflation is one of many uncertainties that can trigger different rate paths



Source: ING, Macrobond

For 2027, we shift our focus from oil to second-round inflation risks

Oil was the big story of 2026, but in 2027 we can no longer rely on the oil price to tell us where rates will go. Even if oil fell below $80/bbl, as assumed in our baseline, swap rates

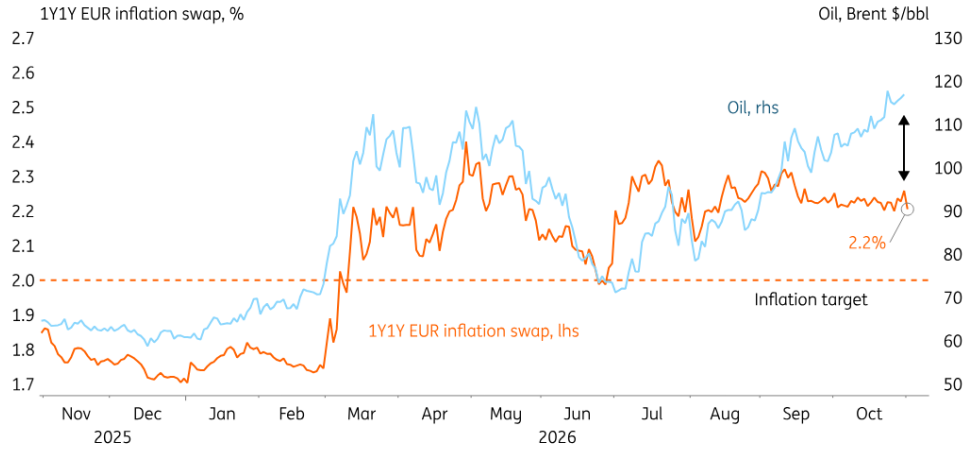
would not find much immediate relief. Instead, markets will watch each inflation reading anxiously for signs of second-round effects.

We take a relatively optimistic view in our baseline, but the upside risks to rates from inflation remain material. One bad reading could be enough to spook markets and risk a repeat of 2022-23, while it would take a series of benign inflation readings to convince markets of a more dovish tilt. We therefore see limited downside to rates in the first half of 2027. Only once there is sufficient evidence that second-round risks are limited do we turn more bullish on rates.

A tail risk for rates would be rising inflation combined with an inability of the ECB to stem the increase. Markets are pricing inflation in two years' time (the 1Y1Y forward) at just 2.2%, suggesting strong confidence in the ECB's ability to return inflation to target quickly. This is consistent with markets pricing in an aggressive further three ECB hikes. However, the effectiveness of monetary policy during supply shocks may be limited. Energy prices are still far from settled, and the global geopolitical landscape remains unstable.

Meanwhile, artificial intelligence investment is unlikely to respond to a few 25bp hikes when earnings growth is measured in double digits. A perceived weakening of monetary policy transmission, combined with upside inflation surprises, could push two-year euro swap rates another 100bp higher.

Markets remain very confident in the ECB's ability to keep inflation close to target

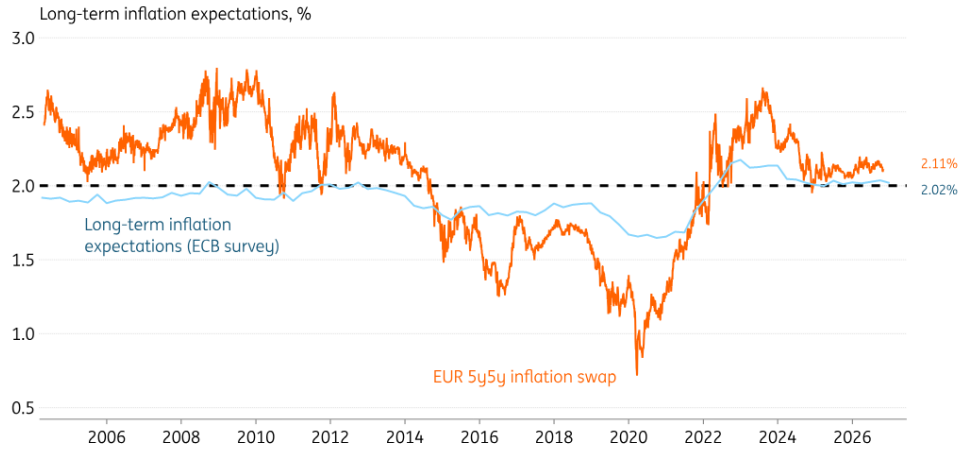


Source: ING, Macrobond

A related risk would be a dovish shift in the ECB reaction function, effectively tolerating higher inflation to support the eurozone economy. The 5yr5yr inflation swaps suggest that markets price very little risk to the ECB's commitment to the 2% target. At just 2.1%, the pricing is still well below the levels from before QE. France could, however, pose a challenge, as higher rates would trigger wider bond spreads, forcing the ECB to keep financial conditions supportive.

Quantitative tightening (QT) might be halted, and the ECB may simply have to accept higher inflation. Such a scenario does not appear to be priced by 5Y5Y inflation swaps. Brace for significantly steeper curves if this risk materialises.

An ECB forced to tolerate higher inflation looks like an unpriced risk

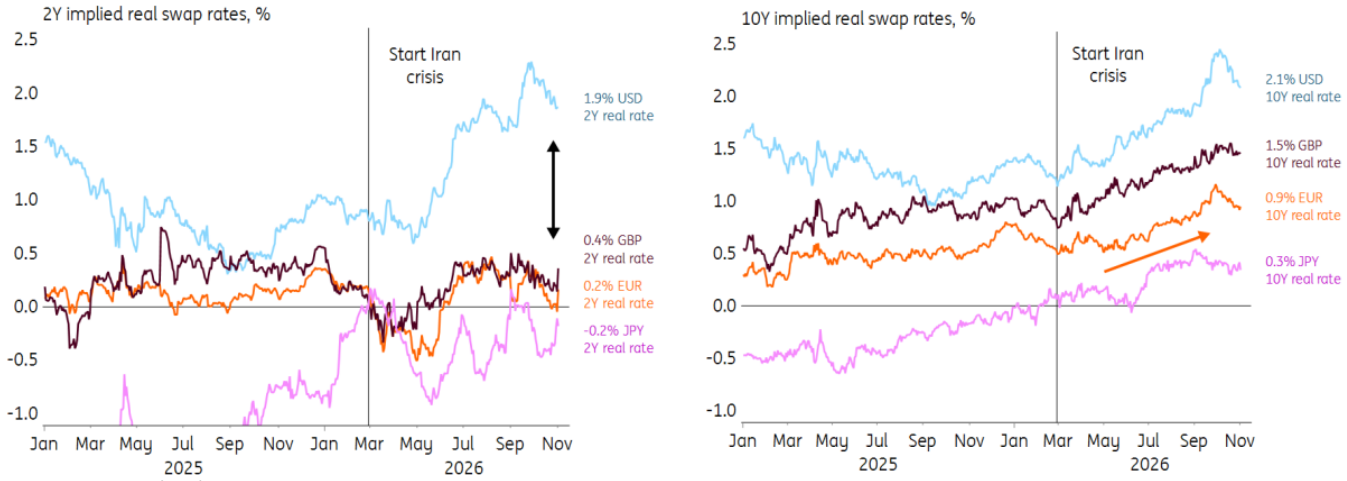


Source: ING, Macrobond

The US is crowding out the rest, pushing euro curves steeper

Longer-dated real rates are not anchored to central bank policy rates and are being pushed higher globally. The US is in the lead here, but the forces at work should be viewed in a global context. Quantitative tightening at all major banks continues to add bond supply that markets must absorb, pushing up longer-dated yields. Meanwhile, government debt is rising, adding to the issuance.

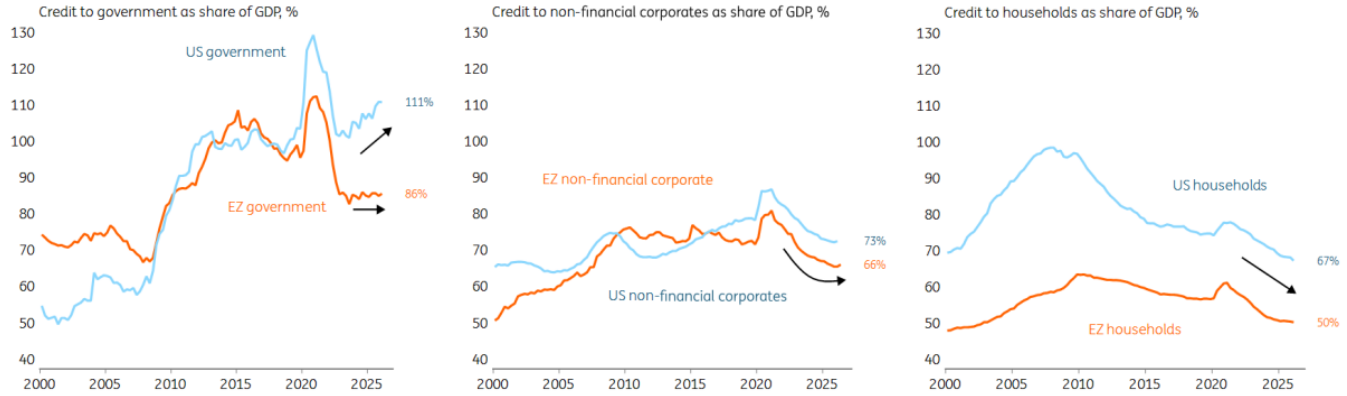
Global forces are pushing longer-dated rates higher, with no end in sight



Source: ING, Macrobond

We do not expect government bond supply trends to change overnight. We therefore think 10yr euro swap rates will remain relatively sticky at elevated levels, despite our baseline view of a move lower in 2yr rates. If the private sector also starts borrowing more, we may face even higher global rates. Corporates and households have been deleveraging since Covid, but the latest data may point to increased borrowing. This is not our baseline, as higher rates should weigh on investment appetite. The wildcard is artificial intelligence, which has driven investment in the US. Outside technology, however, the investment boom is not yet convincing.

US government debt is leading the credit cycle, but keep an eye on corporates

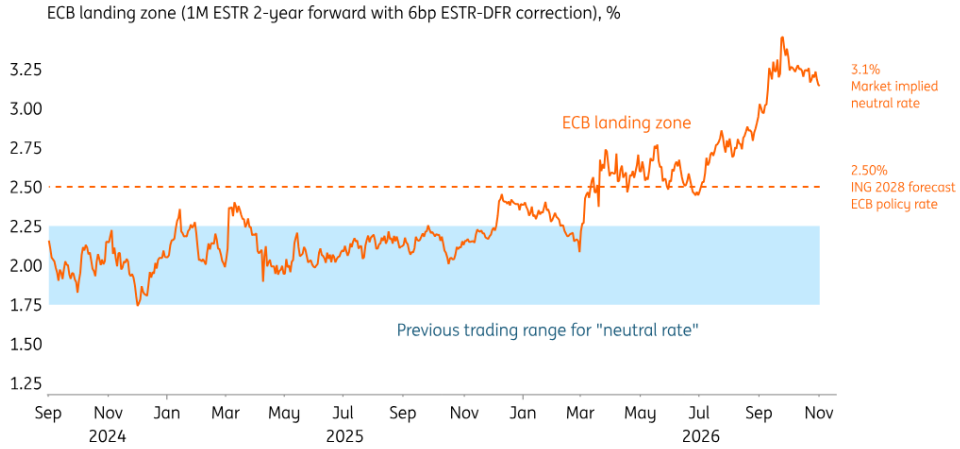


Source: ING, BIS, Macrobond

Fundamentals have not changed enough to warrant an entirely new normality

As economists, we want to see the economy return to a steady state, but such an equilibrium is now hard to pin down. We think markets in 2026 have gone too far in repricing the terminal ECB rate. An ECB rate settling above 3% is difficult to reconcile with the previous 1.75-2.25% range. Growth data have shown resilience, but the eurozone economy's structural challenges remain. Although we still see significant near-term upside risks to rates, we expect rates to begin anchoring around an ECB terminal rate of about 2.5% by the end of 2027.

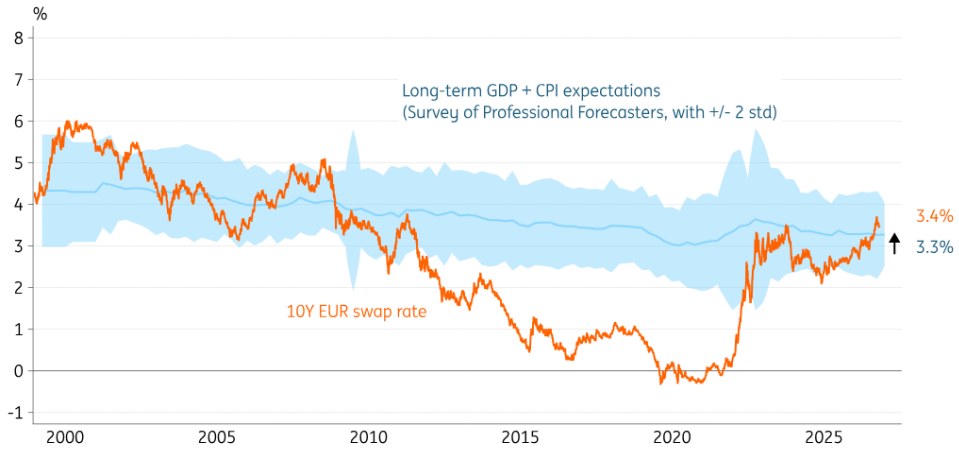
The sharp rise in the terminal ECB rate cannot be justified by macro changes



Source: ING, Macrobond

We do, however, think longer-dated rates are close to their historical fair value, limiting the downside potential for 10yr swap rates. Before the global financial crisis, 10yr rates were anchored around economists' long-term nominal growth expectations. Fiscal austerity and quantitative easing pushed rates away from this equilibrium, but we are now close again to nominal growth expectations of 3.3%. Although artificial intelligence could boost productivity, in our baseline the increase is not material enough to produce a fundamentally different economic outlook.

The 10yr swap rate is close to fair value, limiting downside potential



Source: ING, ECB, Macrobond

European bond spreads in a duel with the 'Bad'

Fiscal strains and election risks are putting eurozone bonds to the test. France is the key fault line, while Bunds' safe-haven appeal masks mounting supply pressures. We see a turbulent first half of 2027, and any relief hinges on a credible path to French fiscal consolidation

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European government bond markets – in a duel with the "Bad"

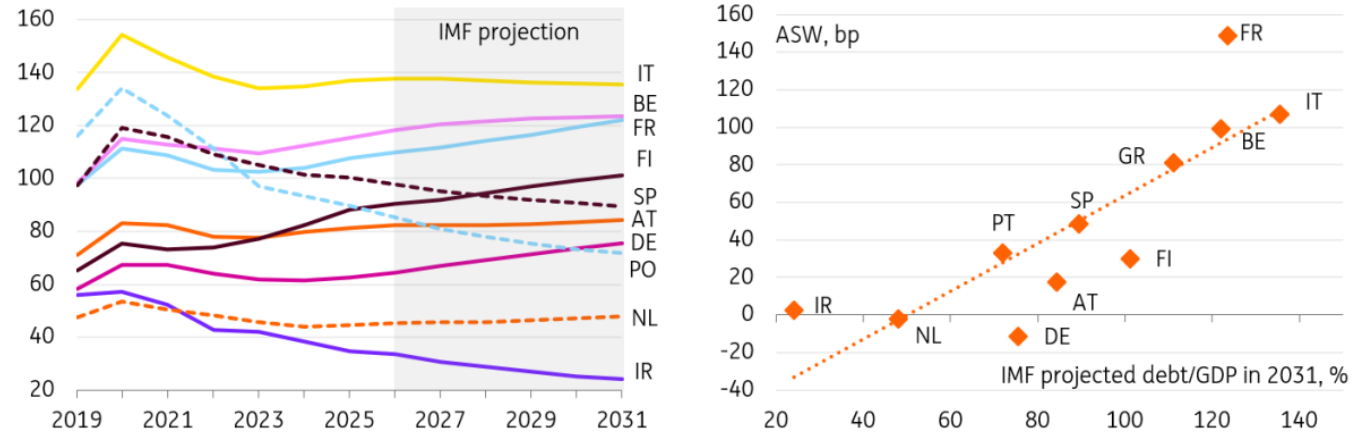
European government bond spreads have returned to the market's focus. Importantly, spread moves are not purely idiosyncratic country stories. They also reflect broader risk sentiment, and higher interest rate volatility generally pushes spreads wider. At the onset of the Middle East turmoil, for instance, we saw sovereign spreads become more closely correlated with energy prices and expectations for European Central Bank rate hikes.

But high deficits – the "Bad"– and existing fiscal imbalances have made some countries more vulnerable than others, and these factors are increasingly shaping the dynamics of sovereign spreads. The "Bad" has re-entered the scene and is once again dominating the narrative in parts of the European government bond market.

While France is already being singled out as a risk factor with the potential to change the broader outlook for European sovereign debt, Europe's busy election calendar suggests that idiosyncratic drivers could become more important overall. Spain goes to the polls later this month, and Italy will have to hold legislative elections before the end of next year. Finland will also hold parliamentary elections, while Germany faces elections in five federal states. And that is just to name the most prominent.

As markets navigate these political and fiscal risks, we expect spreads to remain at wider levels through much of the first half of the year.

Markets have reordered the EMU countries over the years, and have now singled out France



Source: d

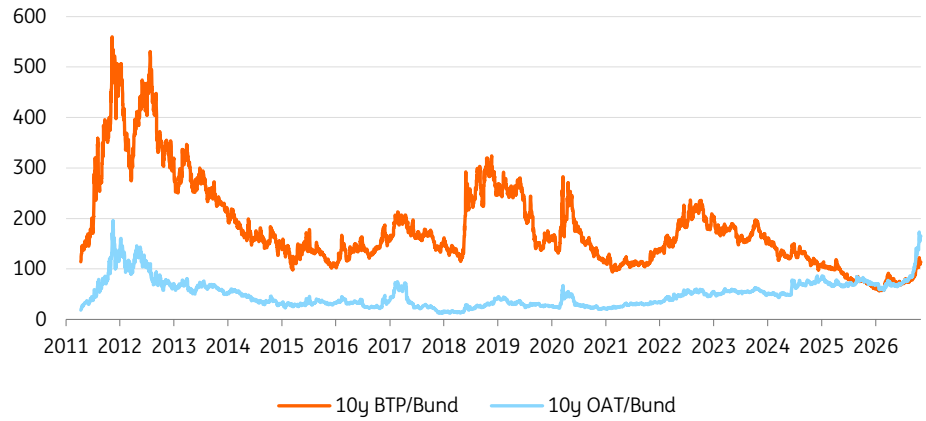
France – Facing the very "Bad", the one that could change it all

Moody's recently affirmed France's last remaining double-A rating but maintained a negative outlook. The underlying assumption is that a 2027 budget containing at least some fiscal consolidation will eventually pass, even if this requires the use of a decree. That would represent a step in the right direction and could offer French government bond spreads some welcome relief going into the new year.

Beyond that, however, a "significant and sustained fiscal effort" will still be required. The outlook is clouded by the 2027 presidential election, with the two voting rounds on 18 April and 2 May. The far-right's Marine Le Pen, the current leading contender, could subsequently call snap legislative elections in the summer in an attempt to break the parliamentary deadlock.

The benign scenario would be one in which Le Pen wins and follows through on her promises of fiscal consolidation. In that case, spreads could return towards levels seen before September, and France could conceivably trade tighter than Italy again. There is, however, still a long way to go before such an outcome can be taken for granted.

If Italy is the yard stick for a proper crisis, there is still room for escalation



Source: Refinitiv, ING

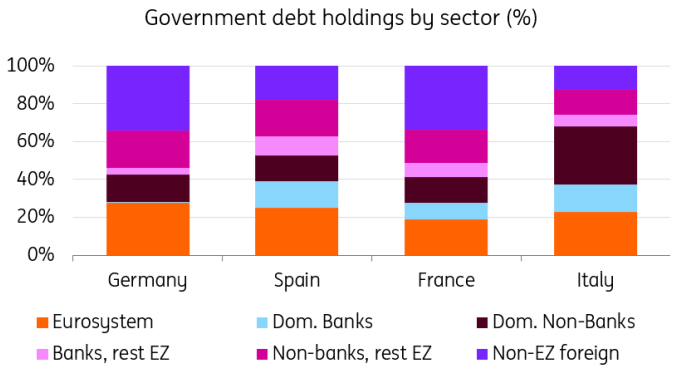
The consolidation plans presented so far by Le Pen appear unrealistic, while the French public does not yet seem prepared to support the scale of adjustment that would ultimately be required. Against that backdrop, the market is likely to continue demanding a sizeable political risk premium. In the absence of positive catalysts, we see a 10-year OAT-Bund spread in the area of 150bp as a floor during the period of electoral uncertainty.

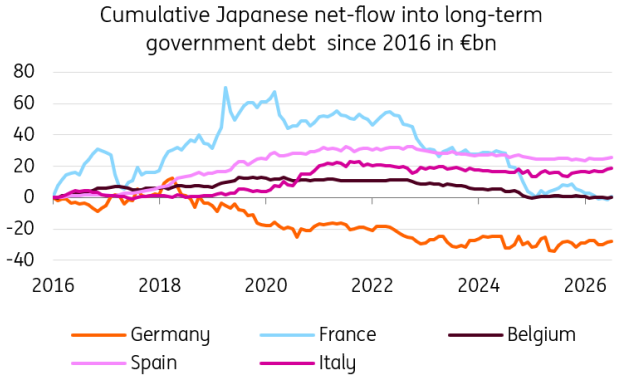
The tail risk is that public discontent instead translates into stronger support for the far left and Jean-Luc Mélenchon, whose proposals have included highly controversial ideas such as cancelling French debt held by the Bank of France. A greater probability being attached to such an outcome could push the 10-year OAT-Bund spread beyond 200bp.

More broadly, the absence of a credible multi-year consolidation plan, combined with the possibility of another hung parliament, would leave the door open to further sovereign rating downgrades, and not just from Moody's. In an unscheduled update, Fitch only recently lowered the outlook of France's A+ rating to negative. Under such circumstances, spreads could remain noticeably above 100bp even once the immediate electoral uncertainty has passed.

That said, we believe current spread levels already extend beyond what fundamentals alone would imply. The market is effectively pricing French debt as though it were already rated BBB. But prolonged and exceptionally high country-specific uncertainty, combined with elevated volatility in broader interest-rate markets, keeps valuations unattractive for many investors. One big risk is that structural foreign investors, which have historically been attracted by France's large, liquid bond market, start abandoning the credit. While data through August do not show any larger shifts, Japanese investors, for instance, have already shown themselves to be sensitive to French election risk in the past.

French has a large foreign investor base which has looked fickle around elections





Source: Bank of Spain, Bank of Japan, ING

The ECB can cap spreads, but does it want to?

In theory, the European Central Bank has both the instruments and the firepower to rein in sovereign spreads. But as long as the turmoil remains largely contained to France, we think the central bank will be inclined to let market mechanisms play out, thereby maintaining pressure on French politics to address the underlying fiscal issues. The ECB has historically been careful to avoid creating the impression of moral hazard.

If needed, the first and least targeted response would be to dial back hawkishness or even halt the tightening cycle. That might appear an easy way to calm markets. But as long as energy prices remain elevated and concerns about second-round inflation effects persist, there is a limit to how far the ECB would be willing to go solely in response to wider sovereign spreads.

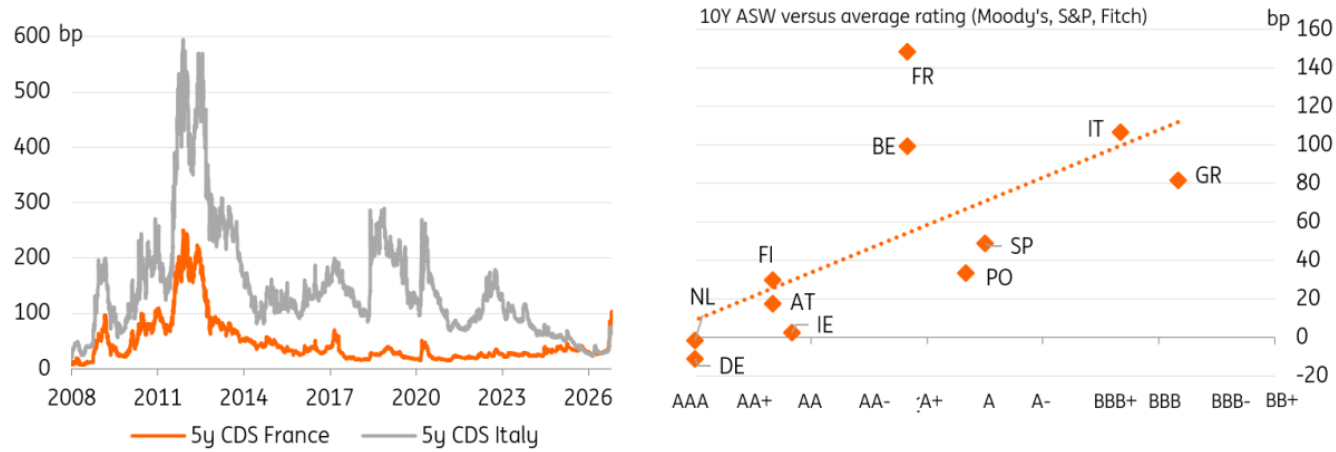
A more targeted option would be to suspend quantitative tightening by resuming reinvestments. The ECB could even frame such a move as part of a broader adjustment of its balance-sheet policy, particularly as excess liquidity in the banking system approaches levels at which demand for central bank refinancing is expected

to become more important. In theory, liquidity operations should take over at that stage. But as long as borrowing from the ECB continues to carry some stigma for banks, ending QT and resuming reinvestments could address two issues at once: easing pressure on sovereign bond markets while also slowing the decline in excess liquidity.

If turmoil were to spread further beyond France and threaten the transmission of monetary policy, the ECB could ultimately deploy its Transmission Protection Instrument. TPI comes with eligibility considerations, including compliance with the EU fiscal framework and debt sustainability, both of which would clearly matter in the case of France, although the ECB retains a degree of discretion in its assessment.

We think the bar for the ECB to actively intervene is high, however. By comparison, when the ECB intervened directly in Italian government bonds under the Securities Markets Programme in 2011, 10-year BTP-Bund spreads had moved beyond 500bp.

French bond spreads are already wider than fundamentals alone would imply



Source: Refinitiv, rating agencies, ING

Germany hides in a temporary safe haven from the "Bad"

Germany sits at the opposite end of the spread spectrum from France. Bunds have reasserted their traditional role as a safe haven during the turmoil in French government bonds. During the geopolitical tensions at the start of the Iran conflict, evidence of such safe-haven demand had been fleeting. This time, the richness of Bunds looks more persistent because the turmoil goes to the heart of some of the monetary union's longstanding vulnerabilities.

Yet the structural forces that had previously driven the cheapening of German government bonds have not disappeared.

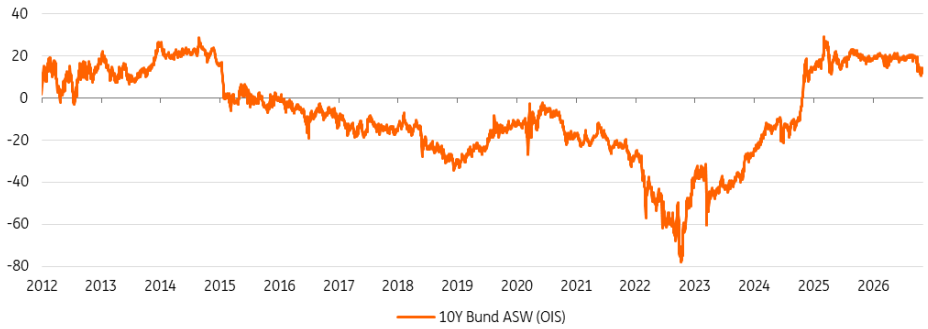
Bond supply is likely to increase again as the government continues to roll out its investment and defence spending agenda. The German Finance Agency's funding head has indicated that gross bond funding could exceed €400bn next year, around €50bn more than this year and making Germany the largest issuer of the union. Higher redemptions mean that the increase in net issuance is likely to be only around half as large. But the market must also absorb the German government bonds running off the ECB's balance sheet. We estimate that this could add at least another €80bn to the amount the private sector needs to absorb over the coming year.

At the same time, political instability threatens the government's reform agenda precisely when Germany needs to reset its economic model. An already fragile

governing coalition will face five state elections, four of them concentrated in April and May and the other in September.

Once the immediate flight-to-quality premium fades, we expect 10-year Bunds to cheapen back to at least 20bp over OIS, from around 13bp currently. Domestic fiscal and political factors could push the spread wider still by the end of the year.

10y Bund safe haven dynamics outweigh structural issues for now



Source: Refinitiv, ING

2027, likely a showdown in two parts

The first half of next year will still be dominated by eurozone political risk. France's 2027 budget might offer temporary but welcome relief at the start of the year, when an important funding window traditionally opens for many issuers beyond the government bond market.

The second half of the year may offer relief from the turmoil, largely contingent on the outcome of the French elections and whether a new president can offer a credible path towards fiscal consolidation. But at that point, Germany, as a core issuer, becomes exposed again to its domestic structural cheapening factors.

A delayed landing for GBP rates

GBP rates seem to have drifted too high versus Bank of England expectations, which we attribute to a significant risk premium stemming from prior trading trauma. We therefore see rates lower across the curve, but only once inflation risks settle and US rates ease lower. Meanwhile, structural supply factors will keep the sterling curve steeper

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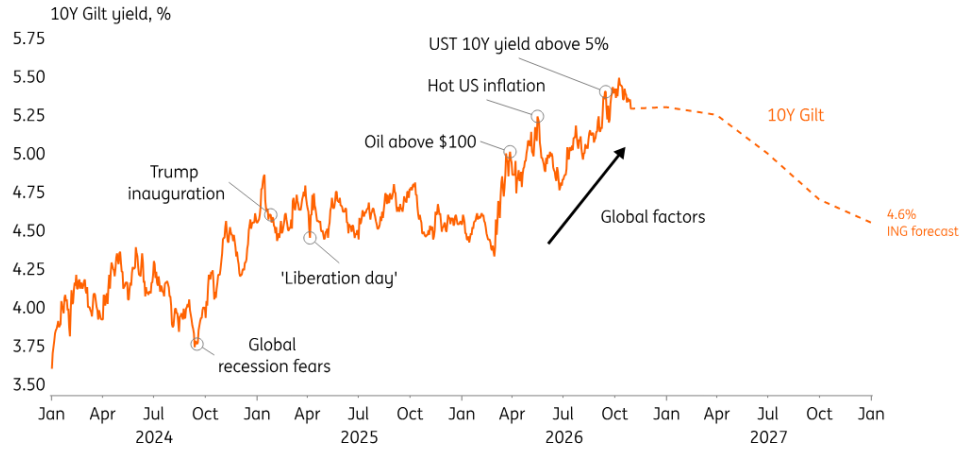
We see lower sterling rates in 2027, but global factors should keep the risk premium elevated

We expect domestic factors to pull rates lower in 2027, but global factors will continue to push gilt yields around. In our baseline forecast, we see the 10yr gilt yield easing lower as ugly inflation fears abate. The Bank of England could start considering rate cuts instead of more hikes. Looking back at the many global drivers pushing GBP rates around in 2026, we do think that the path lower will be volatile.

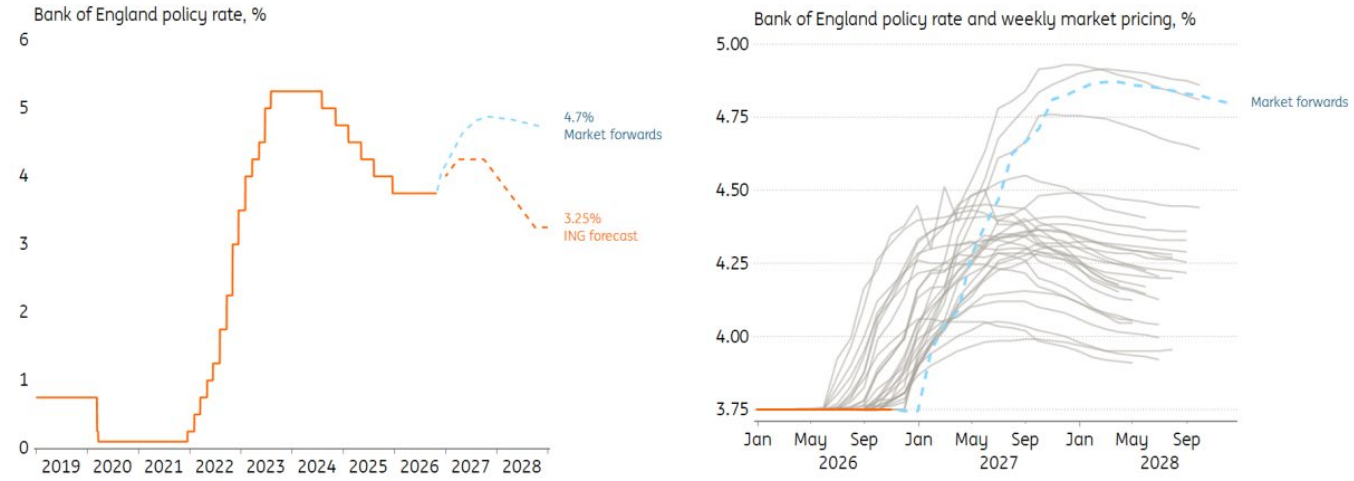
Easing UK inflation should bring rates lower, but global factors add volatility



Source: NG, Macrobond

The Bank of England's policy rate is already starting from a much higher level than those of its peers, which leads us to disagree with the significant amount of additional hiking priced in by markets. Forwards are now suggesting the Bank of England should hike at least 100bp, bringing the terminal rate to around 4.75%, above what markets are pricing for the Fed. The hawkish pricing already happened at the start of the surge in oil prices, but thus far, few rate hikes have materialised.

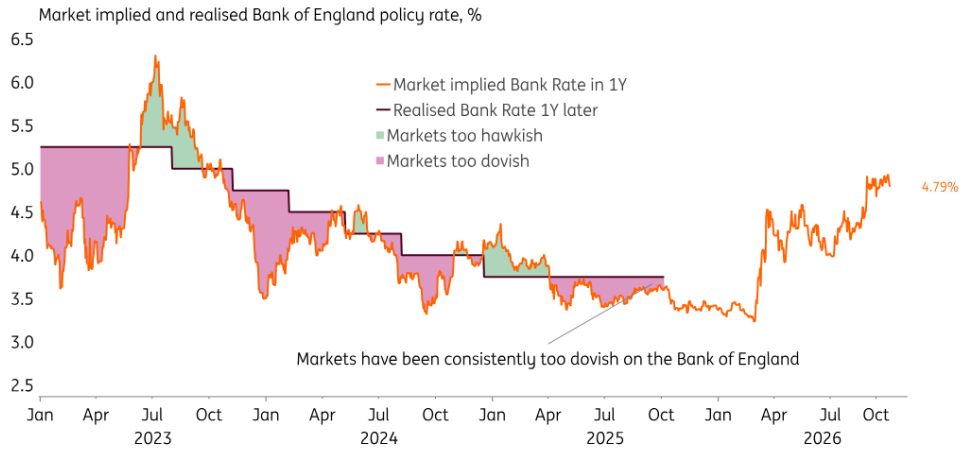
Markets keep overestimating the Bank of England's appetite to hike



Source: ING, Bank of England, Macrobond

The excessively hawkish reaction feels like a trauma from being too dovish over the past few years. When we compare market pricing to actual policy changes, we see that expectations have been almost consistently wrong since 2023. Past inflation was, however, uglier than expected, easing more slowly than hoped. As a consequence, the Bank of England has only been able to cut policy rates very slowly since the easing cycle started in 2023.

Investors have been burnt many times on taking dovish GBP rate positions



Source: ING, Bank of England, Macrobond

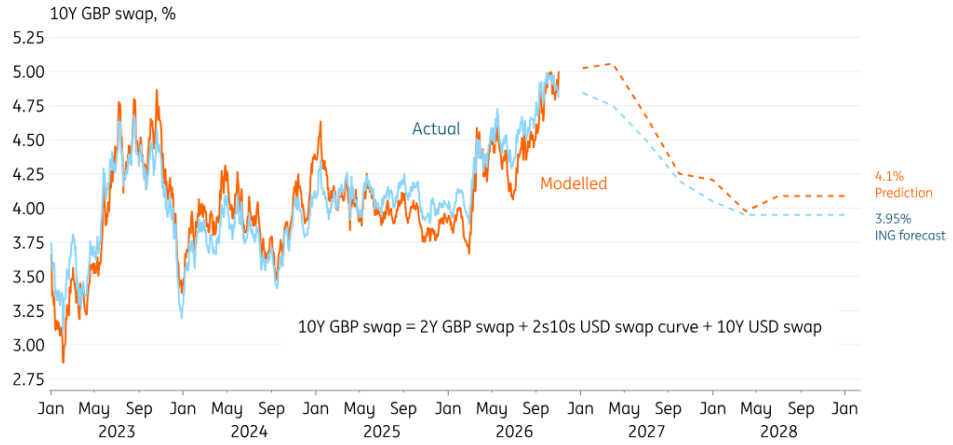
Having been burnt many times over the past year, we think the front end of the GBP curve has built in a risk premium that stretches beyond macro fundamentals. We therefore see 2yr GBP rates easing lower into 1H27 as energy prices should start coming off their highs and inflation doesn't surprise to the upside. But the bigger dovish turn will likely come in the second half as inflation numbers provide greater confidence about returning to the 2% target.

US rates add additional uncertainty to sterling rates

US dynamics cannot be ignored and should eventually also help sterling rates glide lower. The 10yr GBP swap rate can be modelled almost perfectly by Bank of England expectations and the US swap curve. These factors together explain some 98% of rate moves.

Two US ingredients are important: the level of the 10yr rate and the 2s10s slope of the curve. Our baseline forecast sees materially lower 10yr US rates, helping the 10yr gilt move lower in 2027.

Policy expectations and US rates account for 98% of 10Y GBP swap moves



Source: ING, Macrobond

But the US is facing inflation risks and a high deficit, adding uncertainty to the gilt outlook. If US inflation turns out to be more persistent than hoped, we could see the 10yr USD swap rate push toward 6%, spilling over to the sterling market. Similarly, concerns about global government debt and AI issuance can add to the upward pressure on global rates.

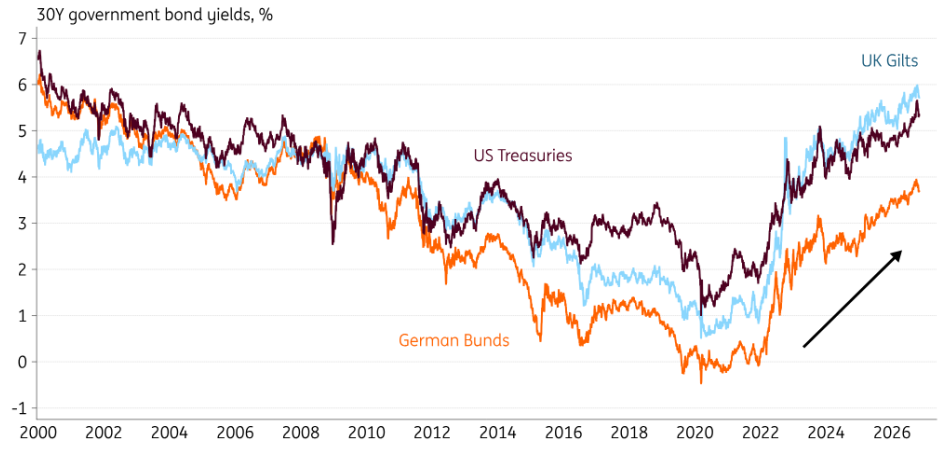
Changes in QT won't stem the upward pressure on rates due to supply

While we think the UK is in a better position than most peers when it comes to "bad" government deficit and debt dynamics, supply pressures will continue to exert upward pressure on gilt yields. Thus far, the Bank of England has more actively reduced its balance sheet, adding to the supply for the private sector to absorb. Earlier this year we estimated that quantitative tightening (QT) added significant steepening pressure to sterling curves – more so than the Bank of England suggests.

The new approach to QT should ease the upward pressures on 30yr gilts, but the broader outlook remains the same. By keeping gilts on the balance sheet with maturities of 23 years or longer, markets no longer have to worry about absorbing that part of the curve. Having said that, the rise in 30yr yields is a global trend and not something on which the UK has a lot of influence.

Meanwhile, shorter maturities will still hit the market, albeit with a detour through the government Debt Management Office (DMO). The DMO could decide to shift gilt issuance to bills, but we doubt such a strategy will be pursued. Add a still-negative budget deficit, and we should see supply pressures persist.

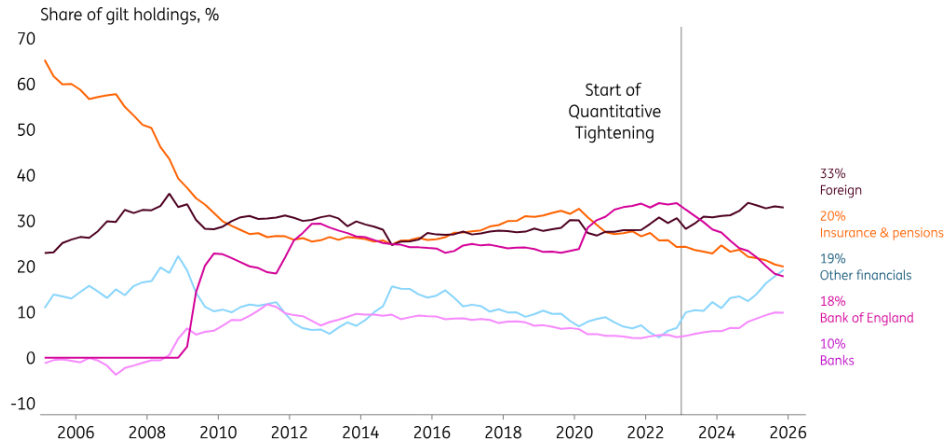
QT tweaks help 30yr gilts, but cannot revert a global trend of increased bond supply



Source: ING, Macrobond

The increased gilt supply is currently absorbed by relatively price-sensitive buyers. This increases upward yield pressure and can come with volatility. Banks are only absorbing part of the increase in supply, while insurance and pension funds are playing a smaller and smaller role, which is especially punitive for longer maturities. Foreign investors and other financials (i.e. asset managers, hedge funds) are picking up the slack. But these types of investors are more relative-value-focused and can be quick to sell if gilts start looking less attractive.

Gilts rely on price-sensitive buyers to pick up the increase in supply



Source: ING, UK Debt Management Office

The grand Dutch pension reforms finale

The biggest wave of Dutch pension reform is still to come, with more than €900bn in assets set to transition in 2027. Yet we expect the immediate market impact to remain limited. Healthy funding ratios should contain large-scale hedge unwinds, while the more lasting consequence will be more frequent swap rebalancing as hedging becomes tied to asset prices

Michiel Tukker
Senior European Rates Strategist
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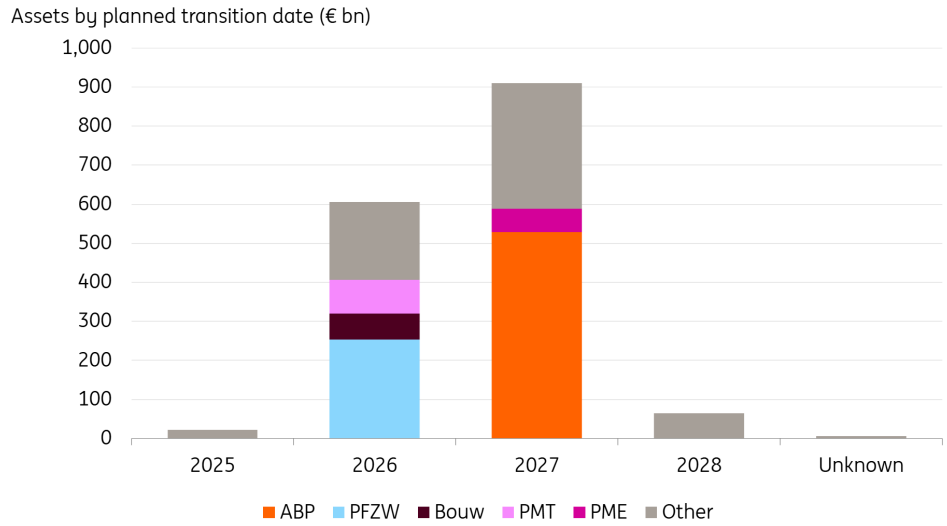
We should see the peak of Dutch pension reforms in January 2027, with the steepening impact for long-dated rates limited by global market conditions

The biggest wave of Dutch pension fund transitions is still ahead of us

Dutch pension funds hold over €1.5tr in assets, and ongoing regulatory reforms are leaving a material mark on global markets. In essence, the reforms move Dutch pensions from a defined benefits framework to a more defined contributions-like setup. Around €600bn of assets have already transitioned in 2026, and for 2027 we brace for another €900bn.

January 2027 marks the last major transition date



Source: ING, De Nederlandsche Bank, PensioenPro

In the new system, interest rate hedges are set by age cohort instead of at the fund level, which reduces the demand for longer-dated fixed income. The exposures of younger participants are only partly hedged. In the case of ABP, the hedge is just 10%.

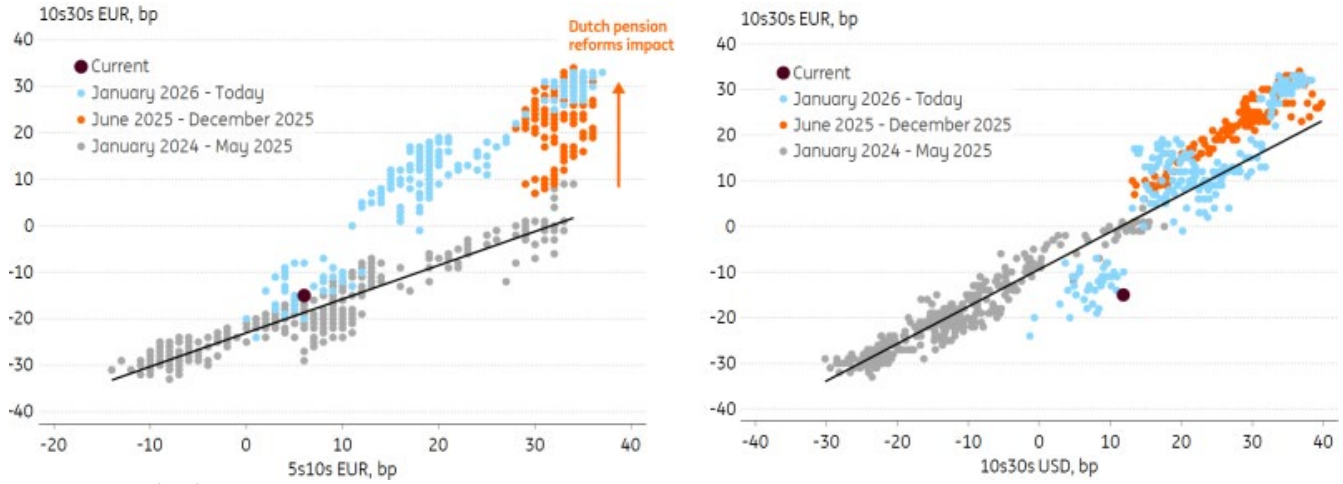
For older participants, this hedging ratio increases to 75%. In effect, this means demand for interest rate hedges at very long maturities, i.e. 25 years and beyond, will be relatively small. Participants in (or close to) retirement will, however, still demand fixed income products, often even more than under the old system. But the maturities for hedging these cash flows are much shorter.

Market impact overruled by macro drivers

A steeper 10s30s curve is the natural consequence of these reforms, but the impact is secondary to the broader macro landscape and will thus need time to materialise. We think the Dutch pension reforms contributed some 20bp to the 10s30s steepening in 2025, but part of this was also linked to speculative flows from other financial players.

In 2026, we have not observed the same steepening pressures, and instead the flattening of the 10s30s curves was mostly driven by a hawkish repricing of the European Central Bank and the Federal Reserve. Structurally, we still see scope for a significant steepening in the 10s30s, as changing demand from Dutch pension funds also plays a role. But for this move to materialise, markets first need to gain more confidence about the inflation outlook, pulling the front end lower.

The flattening of the 10s30s can mostly be attributed by macro drivers



Source: ING, Macrobond

We expect an orderly transition with limited market impact in January, helped by healthy funding ratios. Record-high equity prices and higher swap rates result in funding ratios well above the 105% threshold. ABP's funding ratio is even above 130%. Upon transitioning, asset prices become a direct determinant of hedging needs. In effect, higher equity prices therefore mean less need to unwind interest rate hedges. We also know that many pension funds transitioning in January 2026 had already completed their hedging in the months before, limiting the market impact at the start of the year.

Pension funds will be forced to rebalance hedges more frequently

The shift from liabilities to assets as the basis for hedges also forces more frequent rebalancing. Liabilities under the old system were relatively stable since these were promised payments in the future. Liabilities were only reviewed once a year for inflation indexation purposes. In the new system, the liabilities are a direct function of the fund's total assets, which are volatile by nature and move up and down alongside global financial markets.

When equities rise in value, pension funds will have to increase interest rate hedges to match higher liabilities. In theory, this should trigger large swap flows on a monthly basis to ensure compliance with the set hedging ratios. In practice, however, pension funds are likely to operate with narrow ranges around the hedging targets. While this should avoid sharp flows on every market move, we still anticipate more activity than under the old system.

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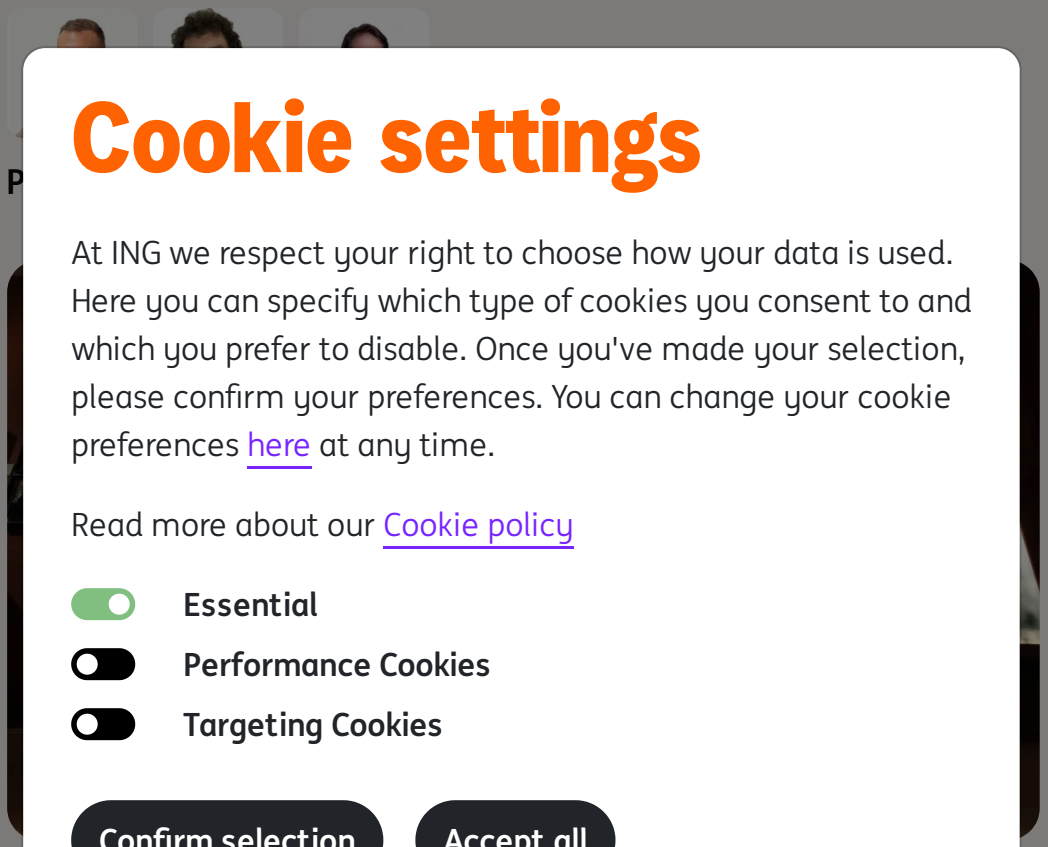
The spaghetti-western title neatly captures the three big forces shaping long-end rates: the 'good' of AI-driven productivity, the 'bad' of elevated fiscal deficits, and the 'ugly' of renewed inflationary pressure from ongoing wars. By the middle of 2027, however, things should start to look a little less ugly as inflation falls



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Key calls and themes and 2027

US rates and a triple whammy of obstacles to overcome

- In the US, our baseline view centres on the good, the bad and the ugly causing trouble in the coming months, and right through the first quarter of 2027 at least, to prompt a return of the 10yr US Treasury yield to the 5.25%-plus area (vs 4.9% currently). We'd cap the absolute upside at 5.5%, as waiting later in 2027 is a 2%-plus handle for GDP growth and inflation, alongside a stable but not worsening debt dynamic narrative.

The fall in inflation here is key, as that allows the Federal Reserve to step away and for the market to re-discount cuts. That allows long-dated yields to edge back down, with the 10yr targeting 4.75% for starters and likely settling in the 4.5-4.75% zone, which is still above normal, but rightfully so. We don't call for it, but a decision to materially cut long-end Treasury funding would push in the same direction.

Euro rates have good reason to be nervous

- For euro rates, we also expect a bumpy ride at the start of 2027, whereby markets anxiously weigh each inflation reading

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A delayed landing for GBP rates

- Sterling rates are well above levels we consider fair value, but trauma from turning too dovish too quickly is still on investors' minds. Only once the Bank of England can prove its ability to bring inflation closer to target (by the end of 2027) do we pencil in a significant repricing lower for GBP rates. Relatively high sensitivity to US rates means we don't expect the path lower to be a smooth one. And with gilt markets increasingly reliant on risk-sensitive investors, we think a material term risk premium remains justified.

The grand Dutch pension reforms finale

- Dutch pension reforms are reaching their finale as almost €900bn of assets are scheduled to transition in January 2027. The reforms should keep the 10s30s euro swap curve structurally steeper, but macro will continue to be the main driver of the curve for now. Under the new system, we expect more swap flows throughout the year as the need for interest rate hedges moves in tandem with asset prices (i.e. equities).

US | Interest rates | Inflation | Federal Reserve

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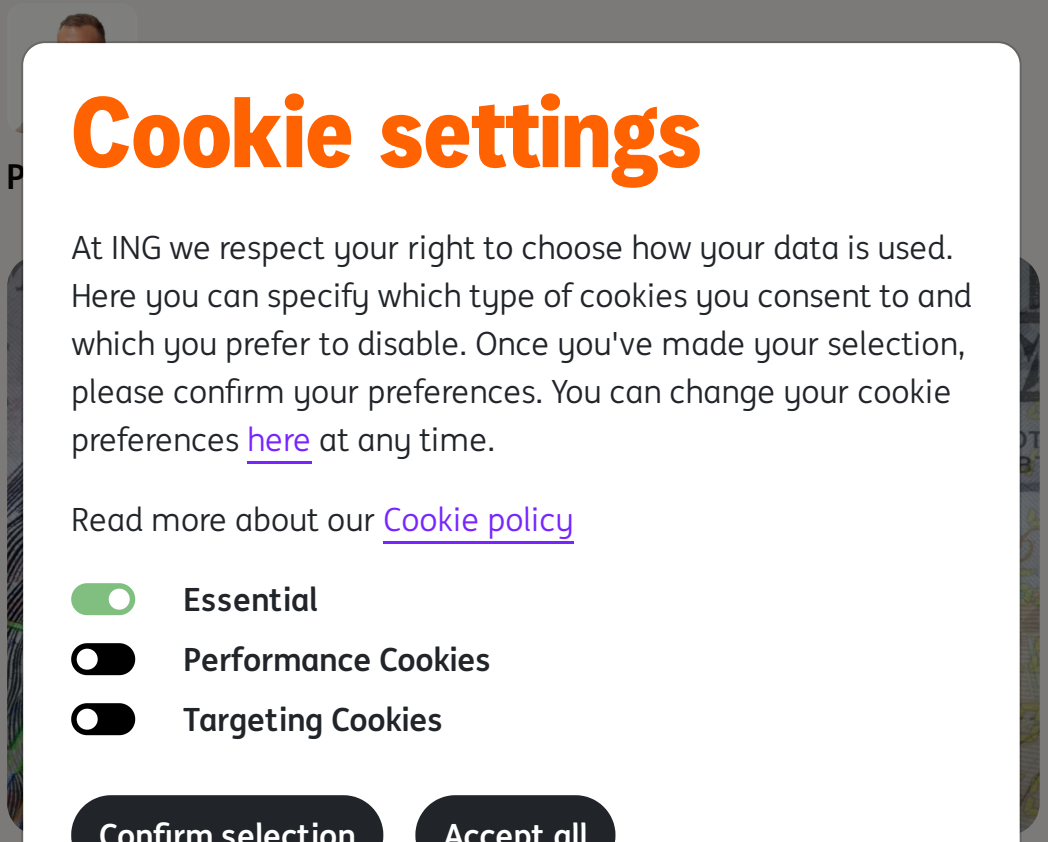
The good (AI), the bad (deficits) and the ugly (inflation) extend well beyond the US, with similar dynamics at play in France, Japan and the UK. While our focus here is the US, many of the same themes apply elsewhere. We think it will prove tough to shake off these impulses through the end of 2026 and into the first quarter of 2027



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We expect the 10yr Treasury yield to remain under upward pressure into the first quarter of 2027. AI-driven productivity growth, elevated fiscal deficits and sticky inflation are capable of pushing it back towards 5.25%, and potentially as high as 5.5%. A material constraining factor would be the US Treasury cutting long-end funding; see more on that scenario here.

Looking beyond the first quarter, we identify a key shift in inflation dynamics as a dominant factor. Specifically, the direction should

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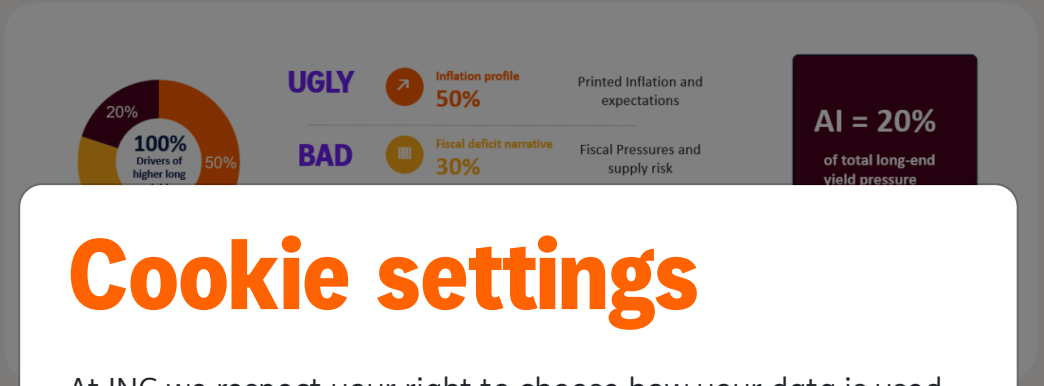
reverse later in 2027 as inflation eases and the market starts to re-discount Federal Reserve rate cuts, ultimately taking the 10yr towards the 4.5-4.75% area. But we should not jump to that too early, especially with upward pressure on inflation still very much in focus as we head into 2027.

The drivers of long tenor rates



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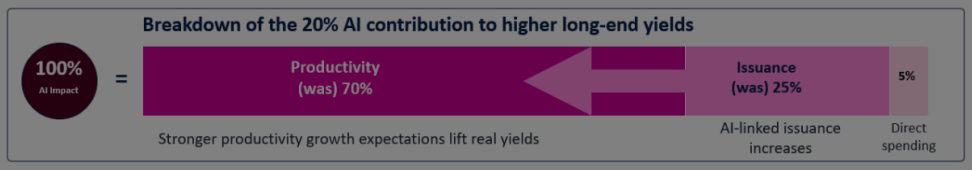
The nuance for 2027 is that we run the risk that AI-related issuance pressure begins to eclipse AI-driven productivity growth. We had significant issuance throughout 2026. It was novel at first, and mostly well absorbed. But as the stock of outstanding debt increases further, its crowding-out effect becomes more structurally impactful.

The AI impact is still about a fifth, but issuance impact is on the rise



Source: Macrobond, ING estimates

The real yield is very important as a key driver of nominal yields. Inflation expectations, as measured by the 10yr Treasury yield minus the 10yr real yield on inflation-protected securities, do not typically engage in big directional swings. It's the real yield that does that. Productivity growth has always been a contributing f

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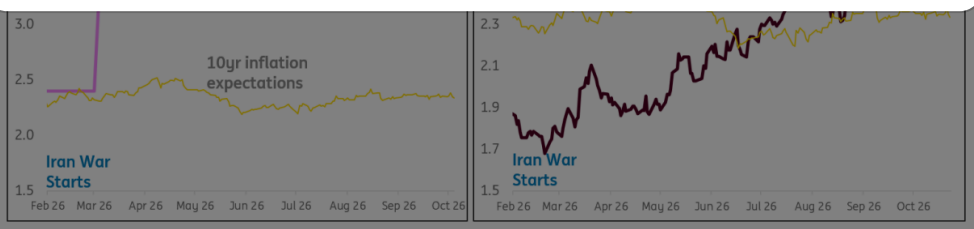

Source: Macrobond, ING estimates

There is a lot going on here, but the bottom line is that where the real yield goes, the nominal Treasury yield goes. And for 2027, a combination of productivity growth, deficit pressure and a stretch in

the term premium continues to place upward pressure on the real yield.

The bad – elevated fiscal deficit(s)

Fiscal deficits are not going to magically solve themselves in the coming months. So, the year ahead will remain a year of concern for debt dynamics. There is quite a degree of gradualism in play, which mutes reactions. But as we saw with Greece a decade and a half ago, the market can quickly jump to a state where debt dynamics suddenly become unpalatable, long before we actually hit a tipping point. Policy stasis is a real problem here, as it leaves a v
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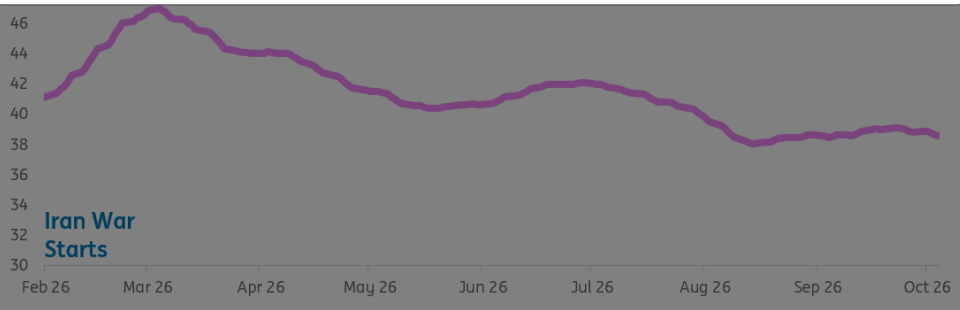

Source: Macrobond, ING estimates

Barring an aggressive Treasury decision to cancel some long-end auctions and/or add to buybacks, we'd prefer to fade this move. We think that swap spreads should come under re-widening pressure

as a theme through 2027, or at least through the first quarter. We think the 10yr swap spread can revert to the 50bp-plus area for starters (now below 40bp). And the 30yr can move back up to 75bp, at least.

But again, as intimated above, a material reduction in long-end Treasury issuance would provide a pathway to tempering the direct negative effects associated with the fiscal deficit narrative. Our impression is there is no huge urgency to do so, especially given the relative tameness of swap spreads currently. But then again, this is at the whim of the Treasury Secretary in the end.

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That all being said, herein also lies the biggest risk case for 2027 – that inflation *does not* ease enough to comfort central banks, or indeed bond markets. The current market discount appears to have this as an elevated risk factor. We glean this from the implied elevated discount for central bank rates. Longer-tenor market inflation expectations are, in fact, quite benign. But we suspect that these are not necessarily providing us with a solid steer on inflation risks for 2027 specifically. In this more bearish case, bond markets don't get to a state of relief. That is also why we don't want to play the bond-bullish game too early in 2027.

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Are we going to 6% for the 10yr? Probably not, but here is how it could happen

While we've put the drivers neatly into different buckets, the reality is that they are all acting in unison. We bond nerds will, of course, go heavy on real rates being the dominant driver, which remains technically true to date. But the genesis of higher real rates is no big mystery. There has in large part been a move away from unusually low (to negative) post-pandemic levels to above-normal ones today. And we *should* be above normal, given that we have elevated inflation, elevated fiscal deficits (*and* the AI angle).

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Wondering what's normal for the 10yr nominal yield? See it here – we called this literally years ago.

The question is, should or could long-dated yields push higher from here? The answer is yes, they could. There are three routes.

1. **Route one is GDP growth heading to 3-4%**, akin to what we saw during the dotcom boom. That could coax the 10yr real yield from below 3% currently, up towards 4%. That would mean the 10yr Treasury yield heads to 6%.

2. **Route two is the fiscal deficit getting materially worse**. Remember, it's been in the 6-6.5% range for about three years. Not good, but not getting worse. But what if it shot to the 7-8% zone? We don't call for it. Get there, and again, we find a route to 6%.
3. **Route three is one we've alluded to already: inflation remains sticky in the 3% area and does not get lower**, much to the frustration of the Federal Reserve. Or it gets worse, because of a severe El Niño effect, for example. Again, there is a path to 6%.

We're not calling for any of these. But they are all entirely plausible with uncomfortably high probabilities. Instead, though, our central v
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The drop in inflation here is key, as that allows the Federal Reserve to step away and for the market to re-discount cuts. That in turn allows long-dated yields to edge lower, with the 10yr targeting 4.75% for starters and likely settling in the 4.5-4.75% zone. This is still above normal, but rightly so.

The one big unknown is whether the US Treasury might decide to make ad hoc changes. We assume nothing big. But a decision to materially reduce long-dated issuance sizes would be big, for example. Our baseline view is that such a measure is reserved for a period of market stress or systemic

threat, where de facto yield curve control might be an option. Again, not what we expect.

US | Interest rates | Inflation | Fiscal Deficit | Federal Reserve | AI

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Easing inflation fears should bring euro rates down by mid-2027, but the path lower will be bumpy. We shift our attention from oil to inflation data and expect markets to react anxiously to upside surprises. Rising bond issuance outside the US government and AI could catch markets by surprise, but that is not our base case

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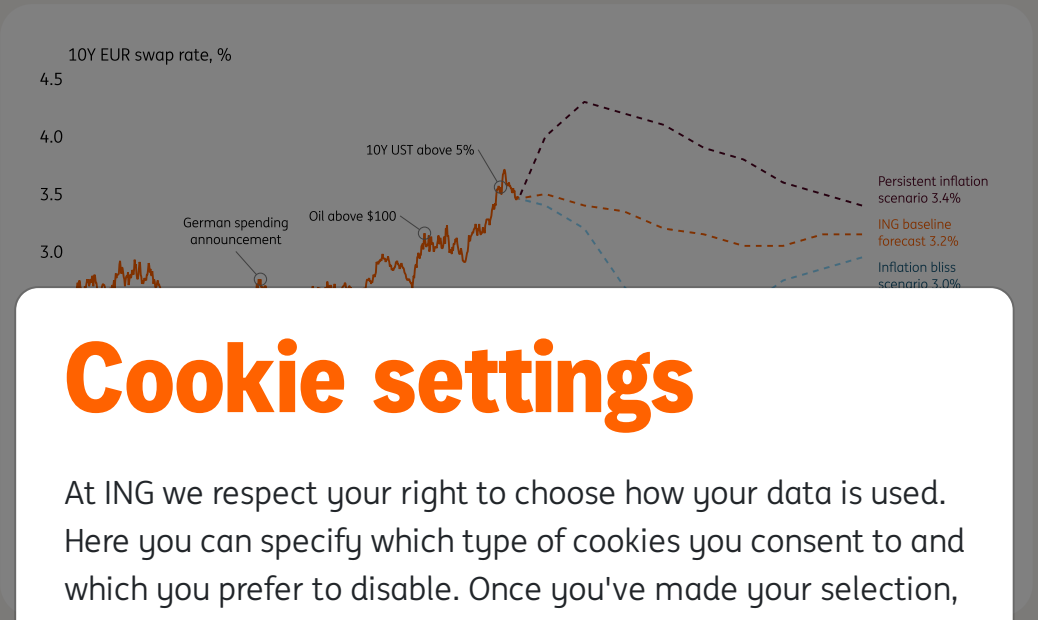
Last year's outlook was all about a stabilisation of euro rates, and boy, were we wrong. For 2027, we have no illusions of a calm ride. Our 2027 euro rates view combines substantial near-term upside risk with a more constructive year-end outlook.

Ugly second-round inflation fears could push the 10-year euro swap rate above 4%, while faster disinflation could take it towards 2%. Our baseline is that inflation pressures ease and the ECB terminal rate anchors near 2.5% by the end of 2027, although

heavy global bond supply should keep long-dated rates relatively elevated.

Inflation is one of many uncertainties that can trigger different rate paths



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risks to rates from inflation remain material. One bad reading could be enough to spook markets and risk a repeat of 2022-23, while it would take a series of benign inflation readings to convince markets of a more dovish tilt. We therefore see limited downside to rates in the first half of 2027. Only once there is sufficient evidence that second-round risks are limited do we turn more bullish on rates.

A tail risk for rates would be rising inflation combined with an inability of the ECB to stem the increase. Markets are pricing inflation in two years' time (the 1Y1Y forward) at just 2.2%,

suggesting strong confidence in the ECB's ability to return inflation to target quickly. This is consistent with markets pricing in an aggressive further three ECB hikes. However, the effectiveness of monetary policy during supply shocks may be limited. Energy prices are still far from settled, and the global geopolitical landscape remains unstable.

Meanwhile, artificial intelligence investment is unlikely to respond to a few 25bp hikes when earnings growth is measured in double digits. A perceived weakening of monetary policy transmission, combined with upside inflation surprises, could push two-year euro swap rates another 100bp higher.

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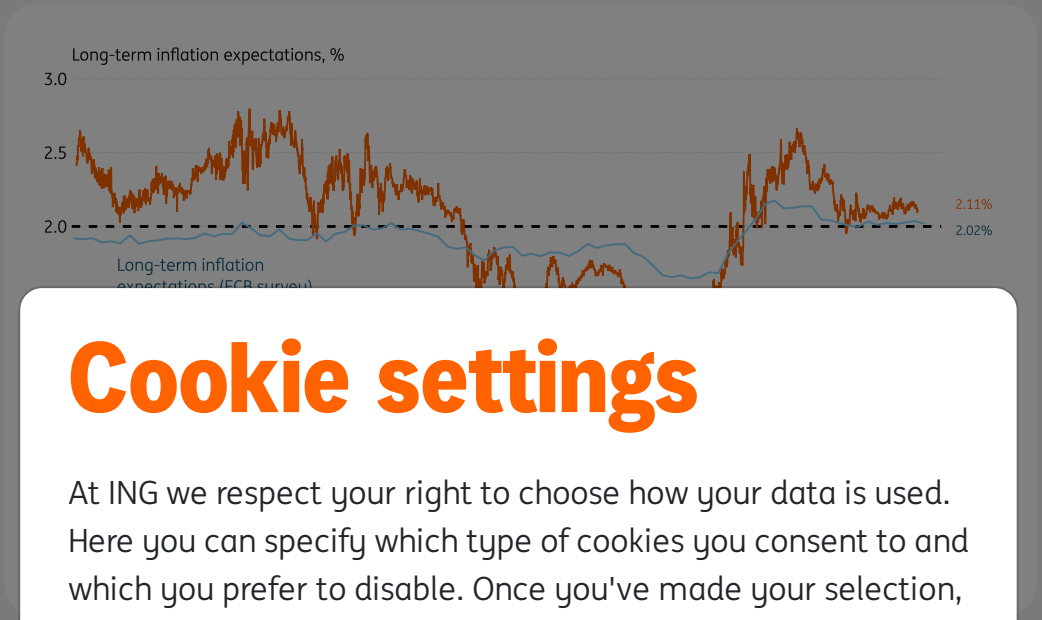
A related risk would be a dovish shift in the ECB reaction function, effectively tolerating higher inflation to support the eurozone economy. The 5yr5yr inflation swaps suggest that markets price very little risk to the ECB's commitment to the 2% target. At just 2.1%, the pricing is still well below the levels from before QE. France could, however, pose a challenge, as higher rates would trigger wider bond spreads, forcing the ECB to keep financial conditions supportive.

Quantitative tightening (QT) might be halted, and the ECB may simply have to accept higher inflation. Such a scenario does not

appear to be priced by 5Y5Y inflation swaps. Brace for significantly steeper curves if this risk materialises.

An ECB forced to tolerate higher inflation looks like an unpriced risk



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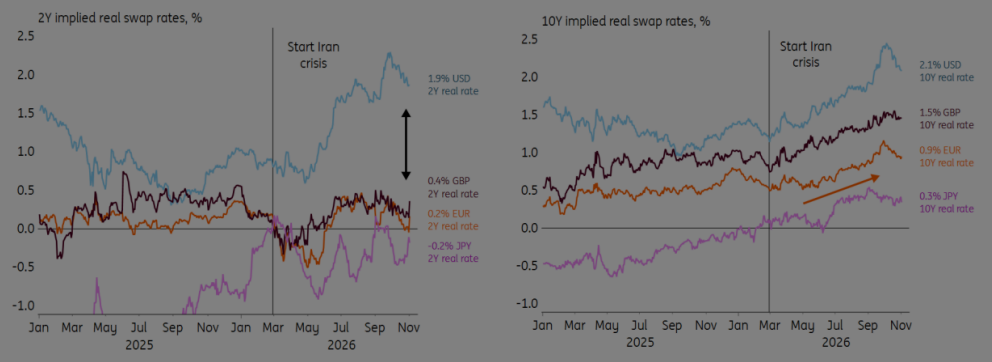
Global forces are pushing longer-dated rates higher, with no end in sight



Source: ING, Macrobond

We do not expect government bond supply trends to change overnight. We therefore think 10yr euro swap rates will remain re
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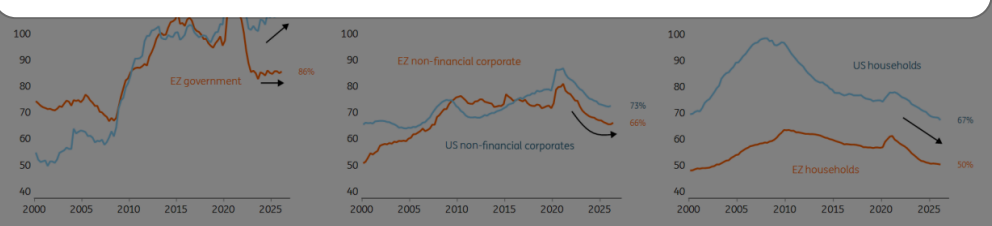

Source: ING, BIS, Macrobond

Fundamentals have not changed enough to warrant an entirely new normality

As economists, we want to see the economy return to a steady state, but such an equilibrium is now hard to pin down. We think

markets in 2026 have gone too far in repricing the terminal ECB rate. An ECB rate settling above 3% is difficult to reconcile with the previous 1.75-2.25% range. Growth data have shown resilience, but the eurozone economy's structural challenges remain. Although we still see significant near-term upside risks to rates, we expect rates to begin anchoring around an ECB terminal rate of about 2.5% by the end of 2027.

The sharp rise in the terminal ECB rate cannot be justified by macro changes

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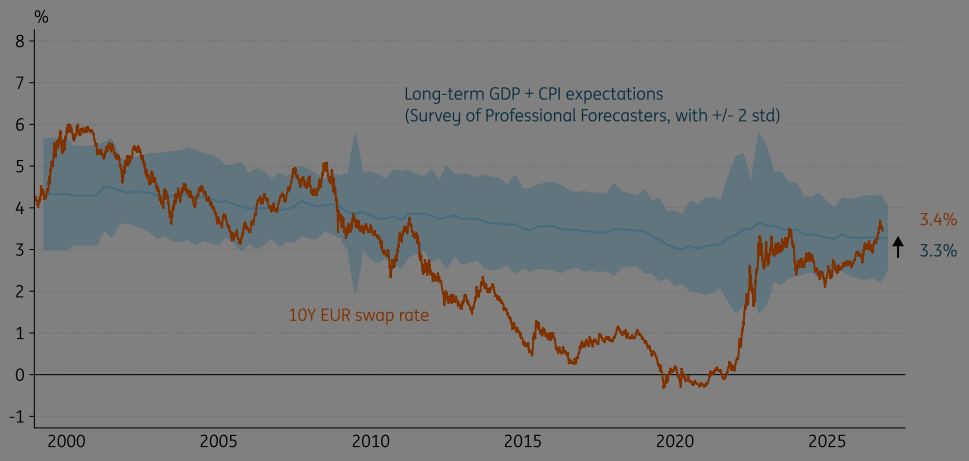
austerity and quantitative easing pushed rates away from this equilibrium, but we are now close again to nominal growth expectations of 3.3%. Although artificial intelligence could boost productivity, in our baseline the increase is not material enough to produce a fundamentally different economic outlook.

The 10yr swap rate is close to fair value, limiting downside potential



Source: ING, ECB, Macrobond

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Fiscal strains and election risks are putting eurozone bonds to the test. France is the key fault line, while Bunds' safe-haven appeal masks mounting supply pressures. We see a turbulent first half of 2027, and any relief hinges on a credible path to French fiscal consolidation

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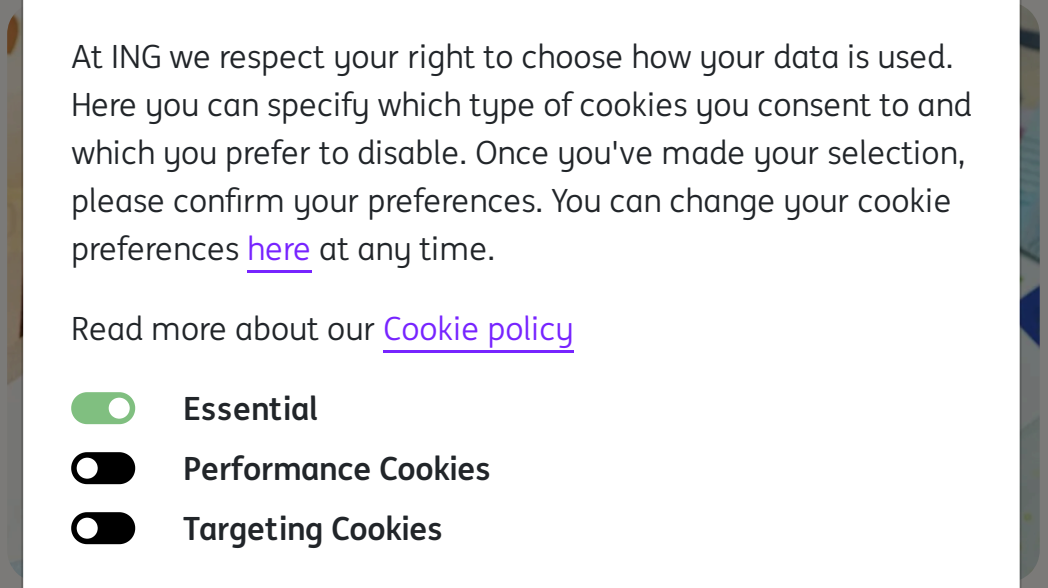

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European government bond markets – in a duel with the "Bad"

European government bond spreads have returned to the market's focus. Importantly, spread moves are not purely idiosyncratic country stories. They also reflect broader risk sentiment, and higher interest rate volatility generally pushes spreads wider. At the onset of the Middle East turmoil, for instance, we saw sovereign spreads become more closely correlated with energy prices and expectations for European Central Bank rate hikes.

But high deficits – the "Bad"– and existing fiscal imbalances have made some countries more vulnerable than others, and these factors are increasingly shaping the dynamics of sovereign spreads. The "Bad" has re-entered the scene and is once again dominating the narrative in parts of the European government bond market.

While France is already being singled out as a risk factor with the potential to change the broader outlook for European sovereign debt, Europe's busy election calendar suggests that idiosyncratic drivers could become more important overall. Spain goes to the polls later this month, and Italy will have to hold legislative elections before the end of next year. Finland will also hold p
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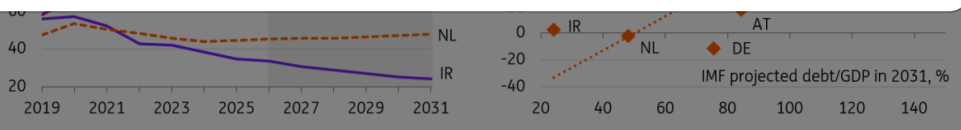

Source: IMF, Refinitiv, ING

France – Facing the very "Bad", the one that could change it all

Moody's recently affirmed France's last remaining double-A rating but maintained a negative outlook. The underlying assumption is that a 2027 budget containing at least some fiscal consolidation

will eventually pass, even if this requires the use of a decree. That would represent a step in the right direction and could offer French government bond spreads some welcome relief going into the new year.

Beyond that, however, a “significant and sustained fiscal effort” will still be required. The outlook is clouded by the 2027 presidential election, with the two voting rounds on 18 April and 2 May. The far-right’s Marine Le Pen, the current leading contender, could subsequently call snap legislative elections in the summer in an attempt to break the parliamentary deadlock.

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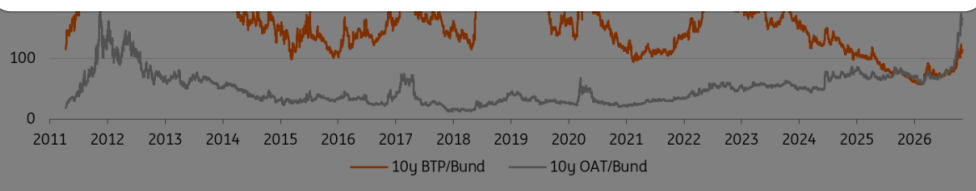

Source: Refinitiv, ING

The consolidation plans presented so far by Le Pen appear unrealistic, while the French public does not yet seem prepared to support the scale of adjustment that would ultimately be required. Against that backdrop, the market is likely to continue demanding a sizeable political risk premium. In the absence of positive

catalysts, we see a 10-year OAT-Bund spread in the area of 150bp as a floor during the period of electoral uncertainty.

The tail risk is that public discontent instead translates into stronger support for the far left and Jean-Luc Mélenchon, whose proposals have included highly controversial ideas such as cancelling French debt held by the Bank of France. A greater probability being attached to such an outcome could push the 10-year OAT-Bund spread beyond 200bp.

More broadly, the absence of a credible multi-year consolidation plan, combined with the possibility of another hung parliament, w
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themselves to be sensitive to French election risk in the past.

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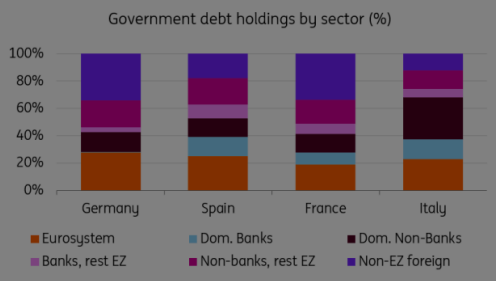
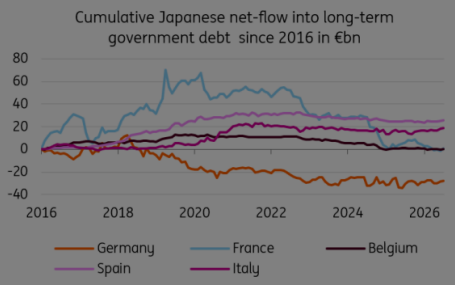
French has a large foreign investor base which has looked fickle around elections





Source: Bank of Spain, Bank of Japan, ING

The ECB can cap spreads, but does it want to?

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sovereign spreads.

A more targeted option would be to suspend quantitative tightening by resuming reinvestments. The ECB could even frame such a move as part of a broader adjustment of its balance-sheet policy, particularly as excess liquidity in the banking system approaches levels at which demand for central bank refinancing is expected to become more important. In theory, liquidity operations should take over at that stage. But as long as borrowing from the ECB continues to carry some stigma for banks, ending QT and resuming reinvestments could address two issues at once: easing

pressure on sovereign bond markets while also slowing the decline in excess liquidity.

If turmoil were to spread further beyond France and threaten the transmission of monetary policy, the ECB could ultimately deploy its Transmission Protection Instrument. TPI comes with eligibility considerations, including compliance with the EU fiscal framework and debt sustainability, both of which would clearly matter in the case of France, although the ECB retains a degree of discretion in its assessment.

We think the bar for the ECB to actively intervene is high,

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Source: Refinitiv, rating agencies, ING

Germany hides in a temporary safe haven from the “Bad”

Germany sits at the opposite end of the spread spectrum from France. Bunds have reasserted their traditional role as a safe haven during the turmoil in French government bonds. During the geopolitical tensions at the start of the Iran conflict, evidence of such safe-haven demand had been fleeting. This time, the richness

of Bunds looks more persistent because the turmoil goes to the heart of some of the monetary union's longstanding vulnerabilities.

Yet the structural forces that had previously driven the cheapening of German government bonds have not disappeared.

Bond supply is likely to increase again as the government continues to roll out its investment and defence spending agenda. The German Finance Agency's funding head has indicated that gross bond funding could exceed €400bn next year, around €50bn more than this year and making Germany the largest issuer of the union. Higher redemptions mean that the increase in net issuance is

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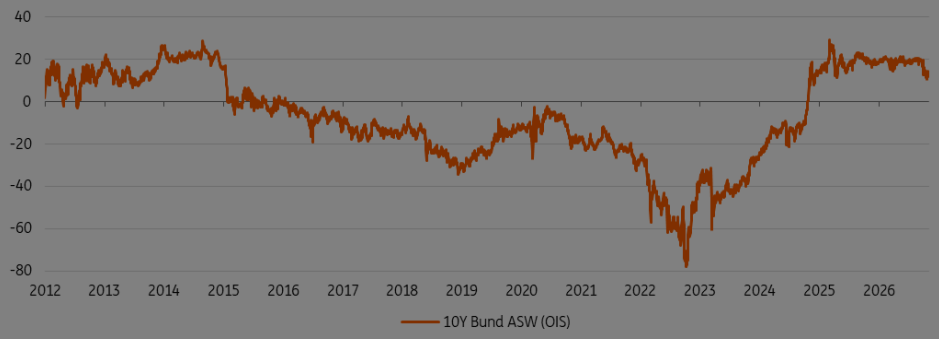
10y Bund safe haven dynamics outweigh structural issues for now



Source: Refinitiv, ING

2027, likely a showdown in two parts

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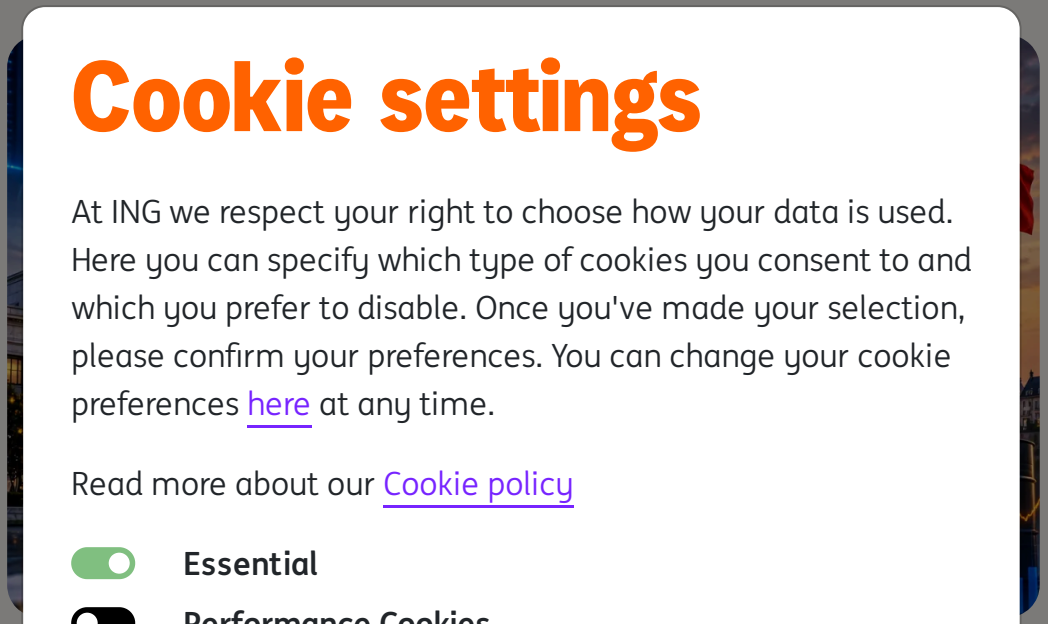
Join ING's economists on 10 November as they share their biggest calls for 2027, plus the risks and surprises that could knock the global economy off course. Sign up here

Carsten Brzeski, James Knightley, James Smith and Rebecca Byrne



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crashing down, taking business investment with it? Can Europe's surprising economic resilience continue, or will dramatic elections, political brinkmanship and rising bond yields herald a return to stagnation?

Join ING's economists on Tuesday 10 November as we launch our **2027 Economic Outlook**. We'll take you through our biggest calls for the year ahead, and the unexpected twists that could knock the global economy off course. Sign up here.

You'll learn:

- Whether the US growth story can keep defying expectations, powered by booming AI investment and resilient consumer spending
- How higher energy prices and political upheaval could reshape the outlook for Europe's major economies
- Where inflation is heading and whether we'll see second-round effects from the mounting energy crisis
- What we expect from the major central banks, including the Federal Reserve, European Central Bank and Bank of England

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Economic outlook

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We expect a 7-2 vote to hike rates this week and, barring a collapse in energy prices, we think a follow-up move in February is likely too. However, market pricing for the Bank of England still looks extreme

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above 4%

The Bank of England has so far managed to avoid a rate hike since the start of the Iran war, but that's about to change. We, like most, expect a hike at its 5 November meeting, and think a follow-up move in February is more likely than not.

Why now? Until now, the Bank would argue it's been on "active hold". It was set to cut rates by upwards of 50 basis points this year, so simply not doing that amounted to de facto tightening. By that logic, the Bank has added a similar amount of policy restriction as the European Central Bank, which has lifted its deposit rate twice.

But the worsening energy crisis has made it much harder for the Bank not to act. The spike in natural gas prices means inflation is set to take another leg higher into winter. A circa 25% rise in the regulated cap on household energy bills in January is all but baked in.

We expect headline CPI to peak a touch above 4% early next year, and we think the BoE's new forecasts will show this too. The Bank's July projections had inflation reaching 3.2% in late 2026, based on oil below US$80/bbl and natural gas at around half its current level.

Energy prices have risen significantly since t

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The Bank is set to hike rates for insurance purposes

4% is an important line in the sand for the BoE. Last summer, the Bank set out research suggesting that second-round effects become more likely once inflation surpasses this level. We suspect this is still front of mind for many officials.

Then again, there is essentially no sign of these much-feared second-round effects so far. Away from motor fuel, inflation has been in line with the Bank's July forecasts. Our measure of 'energy-

intensive' inflation has actually fallen this year, even after accounting for one-off changes in water bills and car tax.

One of the Bank's favoured measures of 'core services' inflation, which strips out volatile and indexed categories, is well-behaved too. And though it has likely bottomed out, private-sector wage growth at 3.4% year-on-year is hardly problematic. Despite signs of stabilisation in the jobs market, there's little evidence wage pressures are set to build.

True, growth has been much better than feared. But then the Bank has often taken a more sceptical view of the GDP numbers,

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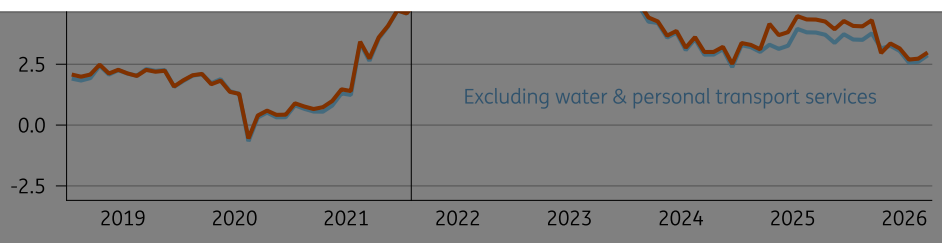

Based on data from the ONS categorising the inflation basket by energy intensity

Source: Macrobond, ING

The key things to watch

So what should we watch at the November meeting?

First, the vote split. We know there are two doves, Swati Dhingra and Alan Taylor, who are deeply sceptical of the need for higher rates. But we suspect the other seven committee members will back a hike. Could there be more dissenters? Governor Andrew Bailey hasn't sounded hugely enthusiastic about hiking, though a governor has only dissented twice since 1997 and both times in the financial crisis.

So if there is extra dissent, Sarah Breeden looks the most likely candidate, having stressed that most businesses are absorbing the energy shock rather than raising prices. Dave Ramsden is another, less likely, candidate.

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rate rises. But it's one thing thinking that, another saying it out loud. There's a lot that can happen between now and February. And having made a hawkish misstep all the way back in March, when the Bank sounded open-minded about tighter policy, opening the floodgates for markets to price in rate hikes, it'll want to tread carefully here.

A more dovish formulation would be if the Bank makes further hikes explicitly contingent on second-round effects: one hike as an insurance move, but anything more requiring solid data. For example, *"If there were evidence of more persistent second-round*

effects in wage and price-setting, further tightening in monetary policy would be required".

Finally, watch the individual member paragraphs tucked away in the minutes. Does anyone formally push back against market pricing, which has more than four hikes priced by this time next year? Even Chief Economist Huw Pill, one of the hawks, has recently indicated that such pricing looks unlikely.

The impact on rates markets

Even if the Bank does choose to push back, will markets listen?

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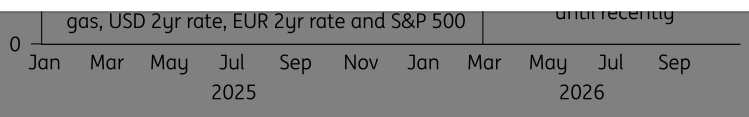
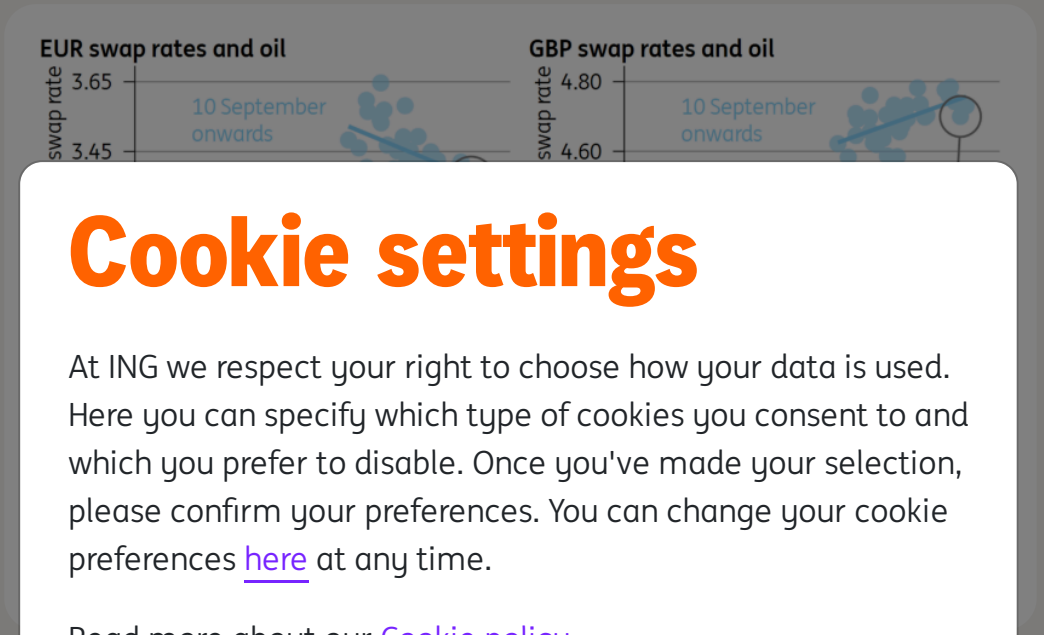


Source: Macrobond, ING

Indeed, the dovish repricing that we've seen for the Federal Reserve and European Central Bank has not been mirrored in the UK. Perhaps it's because Britain lacks a story like France has or, in America's case, AI fears. But robust UK growth data may also be playing a role. Economic surprise indices have been touching multi-year highs.

Still, UK swap rates remain deeply correlated with oil prices. And barring a big surprise, and with more than 100bp of hikes already priced, it's hard to see the Bank triggering a substantial repricing of rate expectations at this meeting.

GBP rates remain positively correlated with oil - unlike EUR rates



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helping sterling too. Notably, speculators are still running reasonably large short positions in sterling, which suggests this period of sterling outperformance can continue.

EUR/GBP has come a long way very quickly – a near 4% drop in a little over a month. Some consolidation is probably due. But with high energy prices likely to keep expectations of higher UK policy rates in place until early next year and French budgetary problems unresolved, it is too early to expect a significant low in EUR/GBP.

United Kingdom GBP Bank of England

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Is COP still worth following? We think so. What matters for businesses is whether this year's COP31 can improve the business case for action. Here are four areas to watch

Coco Zhang and Gerben Hieminga

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energy demand... they have all made it harder for governments to turn climate commitments into action.

That raises an important question for businesses: Is the Conference of the Parties (COP) still worth following?

Our answer is yes.

Businesses do not just invest in climate targets; they invest in viable projects and operations. But many of them still face economic and practical barriers. Grid constraints and high electricity costs can slow electrification. Greener industrial products can struggle to

attract buyers willing to pay a premium. And climate adaptation plans do not always translate into investable projects.

Businesses cannot solve these challenges alone. In a 2025 UN survey of more than 2,000 CEOs across 128 countries, 92% said strong global governance and coordinated policy are “critical” or “important” to implementing their sustainability agendas.

That is why COP is still relevant. It can help align policy priorities, improving investment conditions, and connecting businesses with the right resources. At COP31, four areas will be particularly important for businesses to watch.

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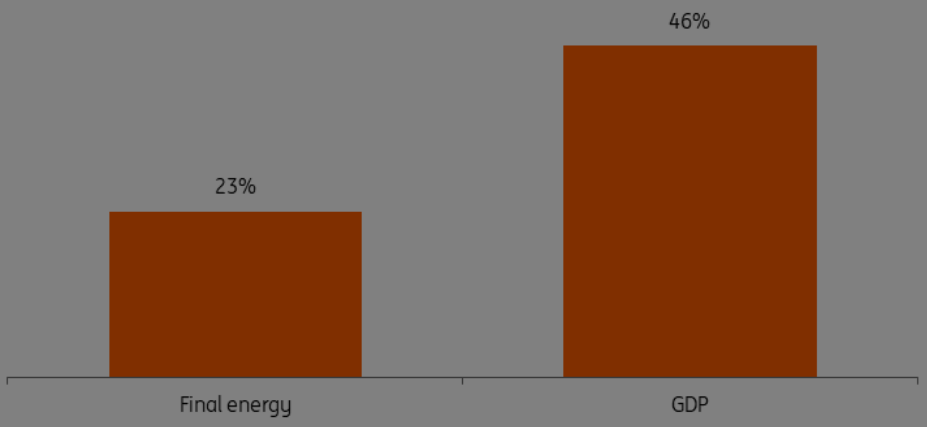
Global share of electricity in final energy and GDP, 2025, in %



Source: ING Research, International Energy Agency

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into direct technical assistance and ready-to-deploy models

- Set country- or sector-level targets and pathways to encourage industry alignment and commitment
- Improve access to finance by expanding dedicated financing for developing countries, while lowering upfront costs in Europe
- Improve the economics. Coordinate energy pricing reforms to make electrification more competitive with fossil fuel combustion alternatives, including by reducing taxes and grid fees that raise electricity prices
- Strengthen infrastructure by encouraging governments to reduce permitting barriers (e.g. Europe and the US), advance

regulatory support for power demand flexibility, and expand cross-border grids where needed (e.g. Southeast Asia)

If COP31 delivers meaningful action in these areas, the implications for businesses could be significant. Stronger policy could accelerate near-term grid connections and enhance long-term investment confidence. Meanwhile, companies may need to work more closely with utilities and regulators to secure the power they need.

Green industrialisation remains critical

But electrification is only part of the story. Industry is another major source of process emissions, with sectors such as steel

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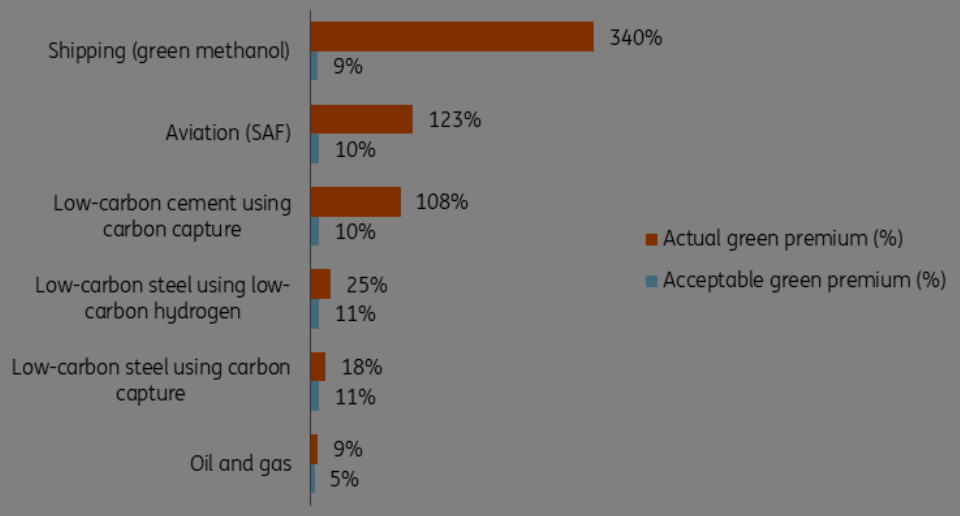
cleaner industrial products remains limited. And the necessary infrastructure for many is still underdeveloped.

Hard-to-abate sectors' green premium is way higher than what companies are willing to pay

Difference in cost, low-carbon versus conventional products, in %



Source: World Economic Forum, ING Research

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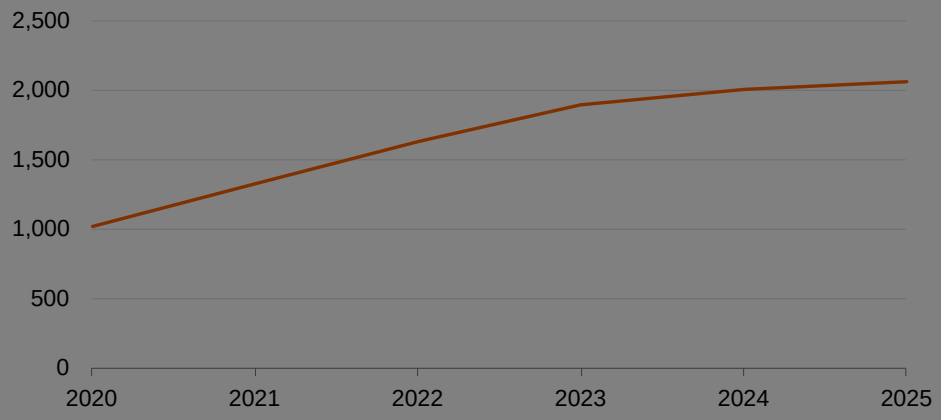
Global climate finance continues to grow

Finance levels in $bn



Source: Climate Policy Initiative, ING Research

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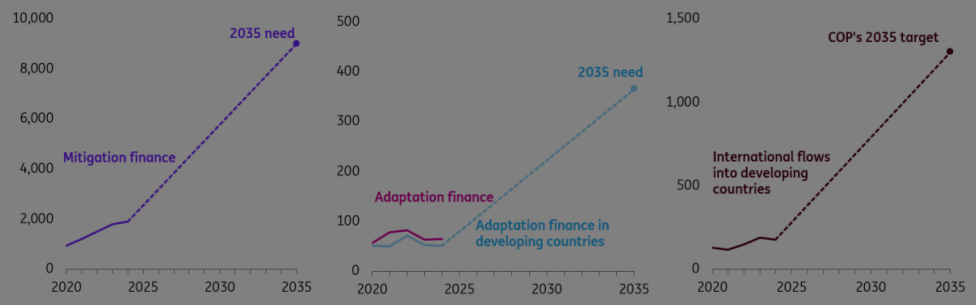
finance

Finance levels in $bn



Source: ING Research, Climate Policy Initiative, UN, UNEP, Natural Resources Defense Council

More climate products and solutions are emerging in the latter two s… …e it … …e a… h… …ll l… f… s… i… …s.

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B… b… p… h… …y affecting supply chains across sectors. In aggregate, physical climate risks could cost companies in the S&P Global 1200 index $1.2tn annually by 2050.

One barrier to corporate investment in climate adaptation is that it is still seen primarily as a way to avoid losses. But adaptation can also create business value. Investments in resilient assets, cooling systems, supplier diversification and climate-resilient materials can improve reliability, competitiveness and long-term growth. Research from the World Resources Institute suggests that every $1 invested in adaptation can generate up to $10 in benefits. That return could be even higher for highly climate-exposed sectors. For

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example, the World Economic Forum estimates returns of $19–$43 per dollar invested in the food and beverage sector.

COP can help turn adaptation priorities into investable projects. Since the Paris Agreement, countries have developed National Adaptation Plans (NAPs), but many remain high-level and lack specific, actionable projects. Recent COP efforts have sought to change this by encouraging governments to translate their NAPs into portfolios of investable adaptation projects.

But identifying projects does not guarantee financing. This is where COP31 could make a difference. Its proposed Climate

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coordination and strong policy support. COP can bring governments and businesses together to provide such a framework, even amid geopolitical tensions and concerns over slowing progress. COP31 may not deliver a landmark global agreement, but practical advances in these four priorities could still have immediate relevance for businesses.

Sustainability | Corporates

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AT1 reform may remain on the back burner in 2027, leaving the instruments' role in bank capital largely unchanged. Solid fundamentals remain supportive, while supply should be manageable – but tight(ish) spreads and low reset levels could weigh on the market

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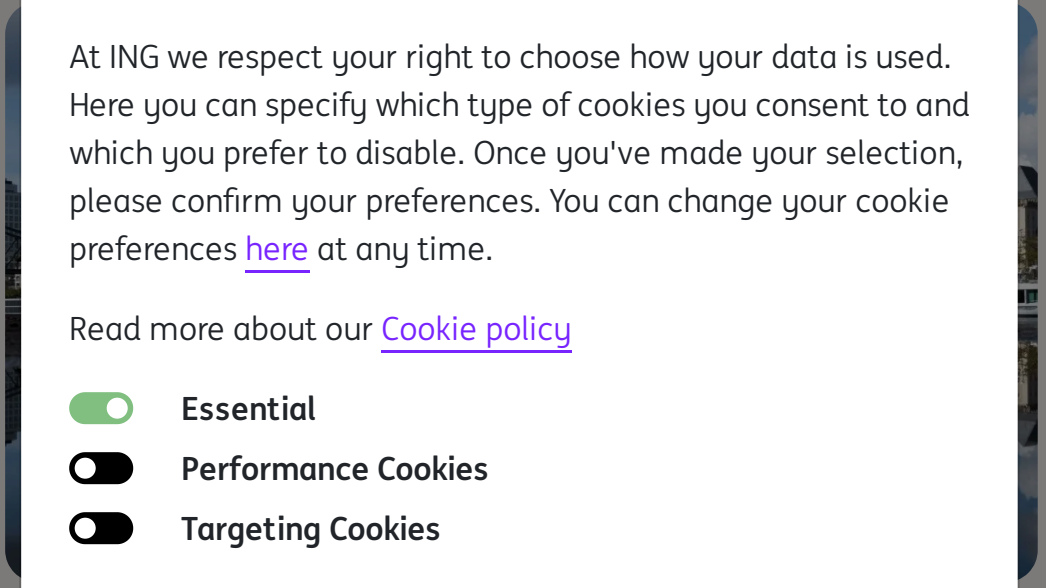

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AT1 reform remains on the back burner

The European Commission published its report on competitiveness in the banking sector in July but did not include much in the way of proposals for AT1 bank capital instruments. The report mainly focused on reducing complexity, reporting requirements and improving competitiveness for Europe's banking sector.

For AT1, this probably means that the instruments are unlikely to be phased out anytime soon. What is somewhat relevant for AT1s is the Commission's intention to reduce complexity for bank capital structures. This includes making the Pillar 2 requirement and

guidance more transparent, while the Commission also proposes to consolidate parts of the buffers into two buffers: one that can be released in periods of stress, and another that would be maintained in all scenarios.

This, in theory, could reduce the risk of coupon skips, as being able to release buffers during periods of stress would not automatically lead to a breach of the combined buffer requirements. The proposals also include a removal of the leverage ratio Pillar 2 capital requirement, which would affect the largest European systemically important banks subject to this requirement. This is only a small number of banks but could (in theory) lead to a marginal decline in A

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line with expectations in 2026. EUR AT1 issuance has just passed €15bn at the time of writing, slightly above our expectation of €15bn. Similarly, EUR Tier 2 has reached €27bn, nearing our expectation of €30bn for 2026.

In 2027, we expect a modest increase in supply, largely dominated by the refinancing of upcoming redemptions/calls. We expect **€20bn in AT1 supply**, compared to €14bn of calls. While this represents a step-up, incremental net supply is only around €3bn higher than in 2026. Tier 2 redemptions will also rise by around

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€3bn next year, supporting our increased supply expectation of **€35bn in Tier 2.**

While gross supply will be higher, net supply should remain easily absorbable. More supply should create opportunities in primary markets, although lower reset levels have left some recently issued bonds more exposed during weaker markets.

AT1 redemptions pick up next year

(€bn)

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highest level since 2002. The story in French markets is growing more sinister by the day. But contagion risk across the eurozone is (so far) relatively contained. Italy and Belgium stand out as other higher-risk countries, given high debt levels and deficits, but it remains a French story for now. Nonetheless, the domestic sovereign exposure and the sovereign-bank nexus have come back into play.

So far, the market is not questioning the broader future of the eurozone. Still, France is of a much larger magnitude than countries

such as Greece or even Italy, which had to be supported during the eurozone crisis.

What can be said is that French banks, as well as the broader European banking sector, are in much better shape than they were during the eurozone crisis. French banks' capital ratios have increased significantly and now stand at around 13-15% on average, compared to c.9-10% during the eurozone crisis. Liquidity levels are healthy, while earnings and exposures, particularly for the larger banks, are well diversified. For instance, BNP Paribas generated around 25% of its revenues in 2025 in France, while French deposits account for 29% of the total. For Société Générale, F

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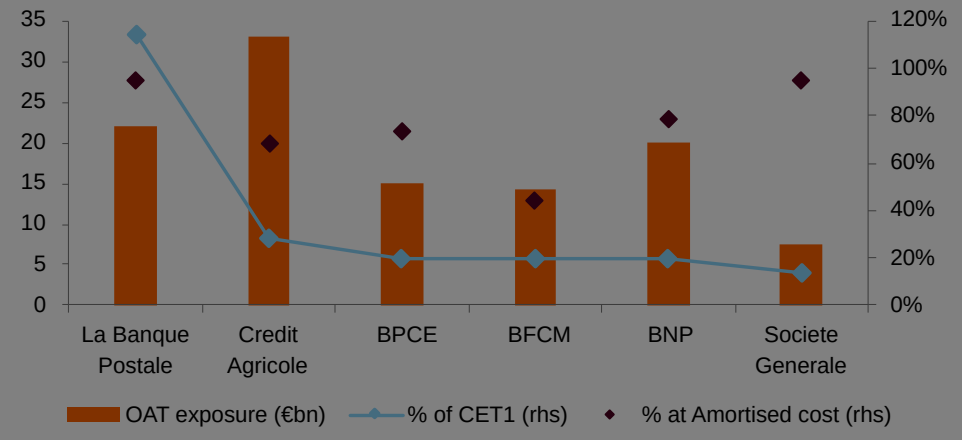
French banks OAT exposure appears manageable



Source: Company reports, EBA, ING

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However, we do not think this is the same sovereign-bank loop as in 2009-2012. European Central Bank funding facilities, the Bank Recovery and Resolution Directive (BRRD) and stronger liquidity coverage ratio (LCR) and net stable funding ratio (NSFR) requirements have reduced banks' dependence on sovereign guarantees. The link remains: ratings, domestic bond holdings and a shared operating environment still transmit sovereign stress into bank funding costs and market access.

The flip side is that liquidity requirements and favourable EU sovereign risk weights have made banks important buyers of government debt. As ECB purchases ended and TLTROs were repaid, sovereign holdings have partly replaced central bank reserves for LCR purposes. Banks rely less on sovereign guarantees, but on the other hand, sovereigns arguably rely more on banks for funding.

This new relationship, alongside expectations that the ECB would contain broader spillovers, perhaps helps explain why bank spreads have not widened as much as OATs. The ECB's refinancing and bond purchase tools remain part of the toolkit, although they have p

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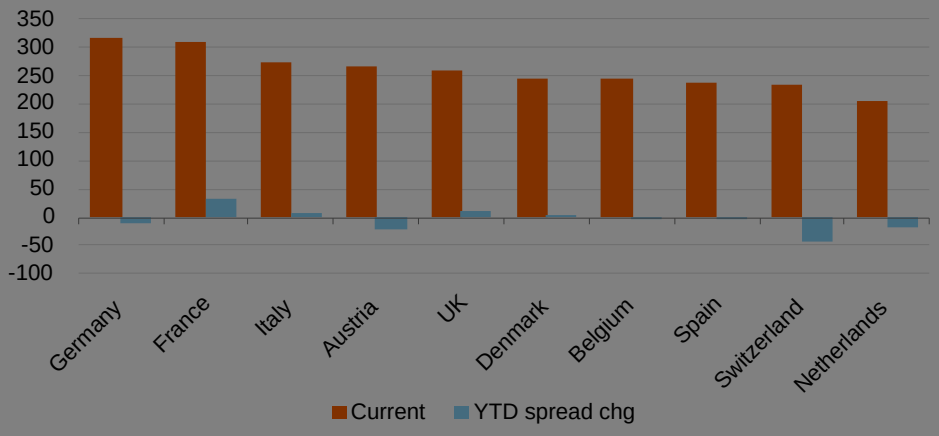
We would avoid treating all French banks similarly. Sensitivity to OATs and the French economy differ quite a bit across issuers. As such, the recent widening has been quite uniform, but the market could become more selective in French AT1s if nervousness continues into 2027. We think the most diversified names, including BNP and ACAFP in short-call bonds, with high reset levels, should hold up better.

French AT1 spreads trade at the widest levels in EUR



Source: IHS Markit, ING

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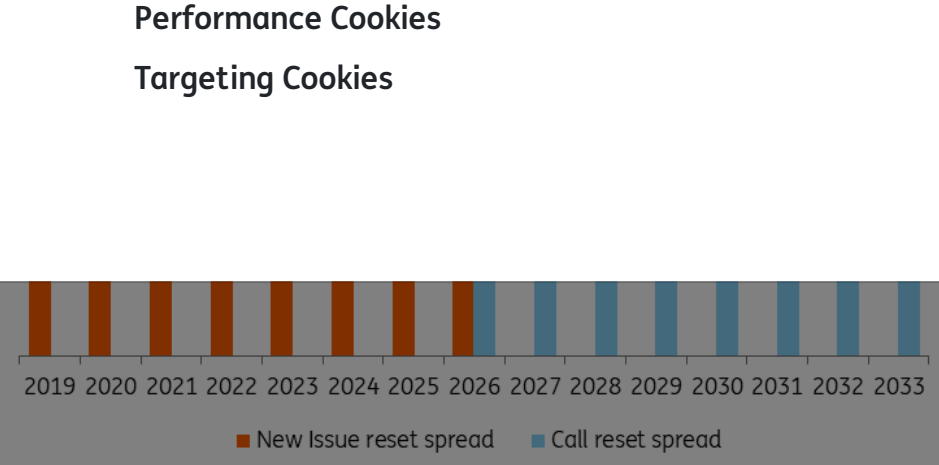
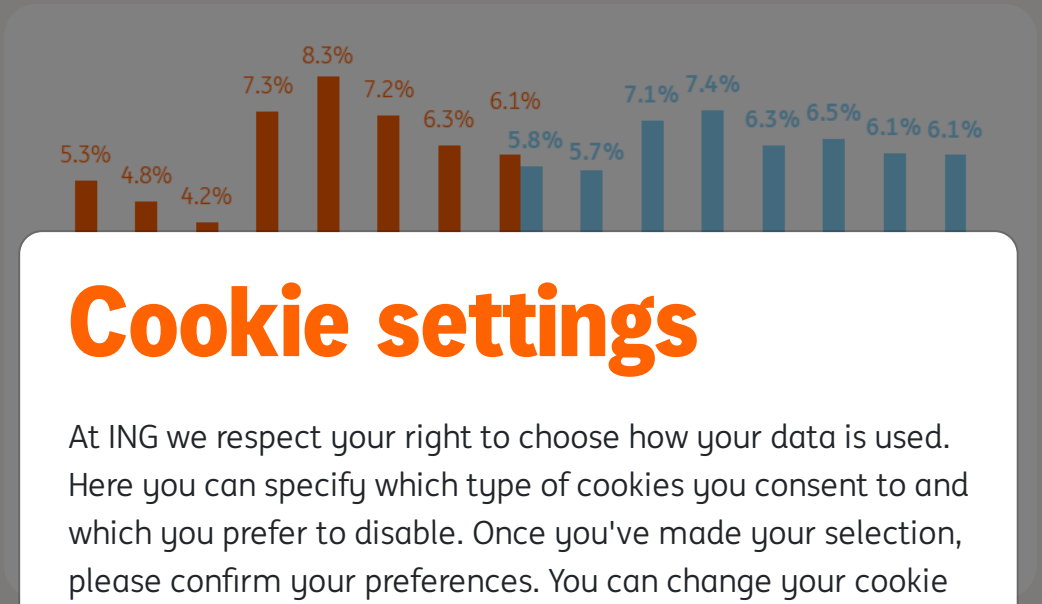


Source: IHS Markit, ING

This is especially the case as the reset levels remain low, while overall coupon levels are in line with recent historical averages. **The economics become less comfortable further out**. Reset spreads decline for bonds callable from 2030 onwards, leaving these bonds

more sensitive to higher rates and deterioration in market access. However, reset levels remain high on average through to 2029 callable bonds.

AT1 coupons have declined, but still remain elevated



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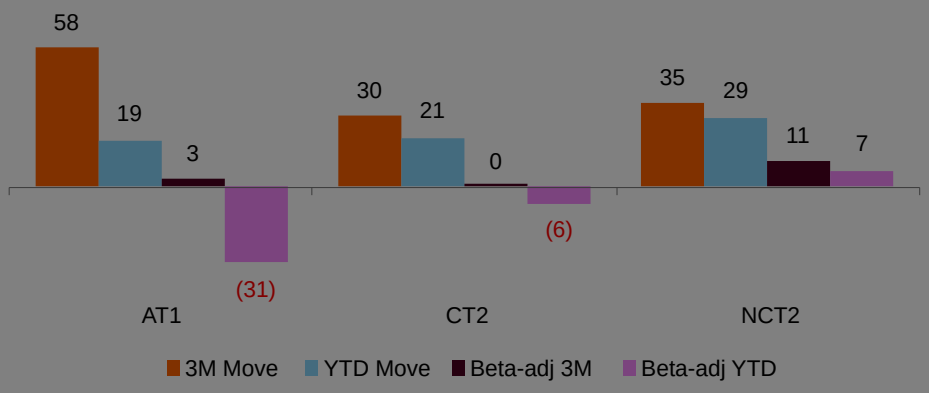
basis, suggesting the recent sell-off has reversed the trend a little bit.

AT1 has widened in recent months as volatility has come back to markets



Source: IHS Markit, ING

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points.

Reset has mattered more than ratings

High reset spread AT1s have generally been more resilient in 2026, with the 700-800bp reset bucket outperforming by quite a bit over the last three months. While this relationship is not fully linear, and many high-reset bonds are issued by higher beta/lower rated issuers, numbers still suggest that reset levels have been an important driver of performance this year. Higher underlying rates reduce the cushion that lower reset AT1 bonds have had, as

extension risk concerns have made more of a comeback in recent months.

Higher reset levels also provide greater coupon protection if a bond is extended during a period of market stress. There are a few near-term low-reset bonds callable with reset levels below +380bp. However, extension risk is still low for these: longer-call AT1s from these issuers trade through the respective reset levels, and these banks have historically assessed calls holistically, rather than purely on an economics or bond-by-bond basis.

Higher-rated bonds have underperformed in 2026. IG-rated bonds h
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So where does that leave the AT1 market in 2027?

2027 is shaping up to be another interesting year for bank capital. Valuations look a bit compressed, but bank fundamentals remain solid, with banks likely to continue calling their instruments at the first call dates. In terms of supply, we expect the small increase to be absorbable but potentially lead to investors becoming a bit more price sensitive. Furthermore, the lack of imminent AT1 reform

should mean the asset class retains an important role in Europe's banking capital stacks for the foreseeable future.

There are risks becoming more visible, not least through sovereign and fiscal concerns, with France the obvious victim at the moment. A softening of fundamentals at the margin and lower reset levels further along the call curve could create more volatility. Spreads have recently seen some widening, yet there is probably greater scope for spreads to stay wider than for further tightening in 2027.

AT1 yields could remain a good driver of demand for

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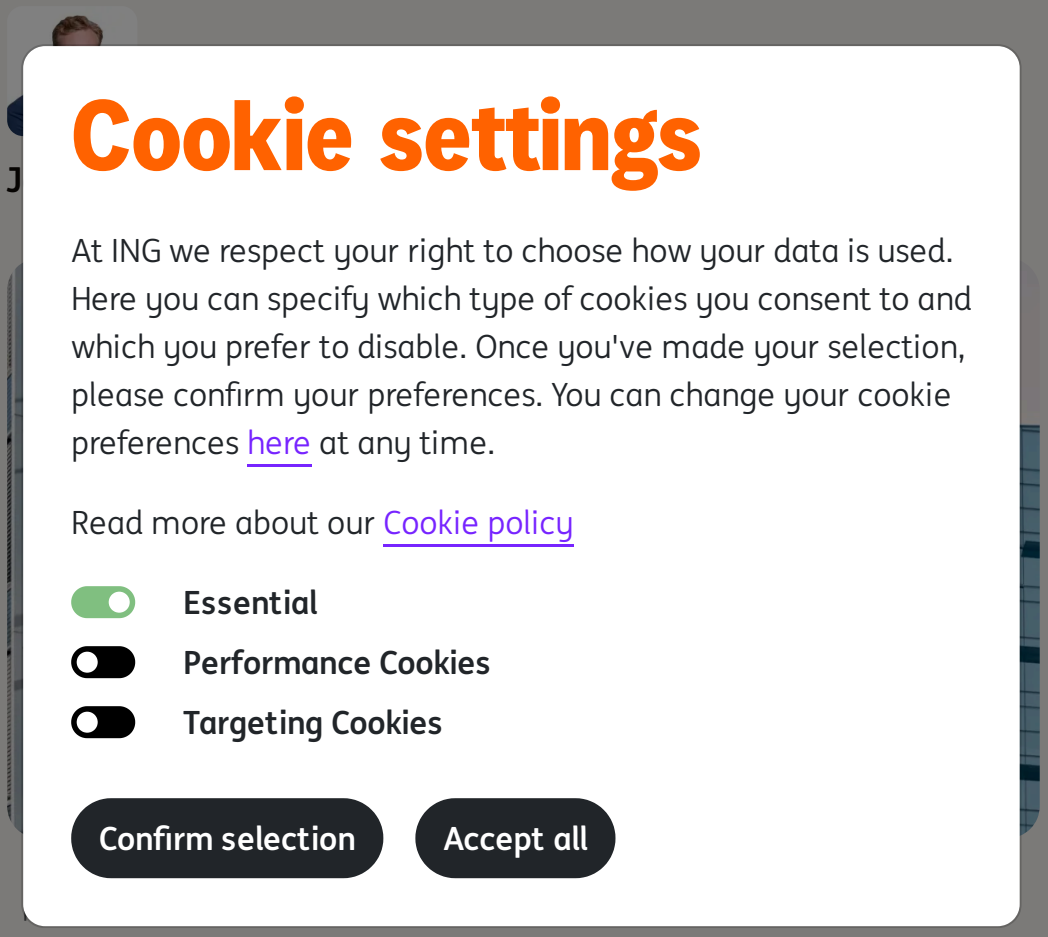
European bank M&A has seen a resurgence in recent years, and 2027 should stay busy. Domestic deals still dominate, while cross-border consolidation is harder but is also picking up. Regulation is becoming more supportive, but politics and execution still matter. Expect more deals, but a transformation of Europe's banking sector is still some way off



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European bank M&A is back

European bank M&A has seen a strong resurgence, with several large-scale deals making headlines. UniCredit's high-stakes takeover of Commerzbank, once deemed very unlikely but now moving closer to completion, could be Europe's most significant cross-border transaction in years. Italy remains one of Europe's bank M&A hotbeds, with multiple banks taking part in the ongoing consolidation wave. Other banks have also been active, and we expect M&A to remain elevated in 2027.

Year-to-date M&A deal value has already surpassed the 2025 total, reaching €53bn including the UniCredit-Commerzbank transaction and based on deals valued at €100m or more. Furthermore, deals pending or intended total €39bn, which includes the potential takeover of Banca Monte dei Paschi by Intesa Sanpaolo, currently valued at around €34bn. All in, this would bring deal value back to levels not seen since the early 2010s.

European bank M&A volumes have seen a resurgence

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Today, the backdrop has shifted – profitability and capital levels are stronger, making the obvious cost-efficiency story less compelling on its own. Instead, banks are using M&A to add scale, deposits and fee-generating diversification, while the need to close the gap with US rivals remains a key driver.

The industrial logic has also strengthened, as fixed costs are rising in areas such as technology, AI, compliance, as well as personnel. Rising investment requirements mean that remaining subscale is becoming more expensive, even for highly profitable banks.

Domestic dominates, but cross-border competes

UniCredit-Commerzbank remains the sector's most closely watched deal and could become the first major cross-border acquisition since the financial crisis. UniCredit has slowly been building its stake rather than a clean takeover and is now deemed to hold effective control, despite currently owning around 50% of the shares. Furthermore, it is also not entirely a leap into an unfamiliar market, as UniCredit already has a significant banking business in Germany through its subsidiary, HVB.

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broad-based cross-border consolidation wave. Many involve banks already familiar with the target market or assets that complement an existing local business.

Selected transaction details

Transaction	Type	Status	Deal value + Stake	Strategic rationale	Main implication
UniCredit / Commerzbank	Staged cross-border takeover	Pending control (ECB approval received)	c.49% owned; c.50% voting rights expected	Scale in Germany and HVB overlap	Landmark cross-border test; politics still shape execution
Intesa / Monte dei Paschi (MPS)	Domestic cash-and-shares bid	Announced / likely	€30.6bn initially; later improved to c€34bn	Scale, deposits and market leadership	Likely branch disposals and competition remedies
MPS / Mediobanca	Domestic takeover and merger	Completed; integration under way	€16bn	CIB, wealth and Generali stake	Transforms MPS business mix and reduces governance complexity
MPS / Banco BPM	Merger of equals	**Unlikely**	€25.3bn	Italy mid-tier consolidation	Italy mid-tier consolidation
MPS / Banca Generali	Merger of equals	**Unlikely**	Part of c.€34bn twin proposals	Adds wealth mgmt scale and fee income	Growth in MPS wealth and mid-tier banking
BPER / Popolare di Sondrio	Domestic merger	Completed Apr-26	€4.3bn initial offer	Northern Italy scale and deposits	Clear domestic synergy case
BPCE / Novo Banco	Full cross-border acquisition	Completed Apr-26	€6.7bn	Portugal as second domestic market	Large but operationally separate expansion
BPCE / Sabadell	Strategic minority stake	Completed; cooperation talks	7% stake for c.€1.2bn; cap 9.9%	Spanish exposure, board role and partnerships	Optionality without control; strengthens Sabadell defences
Santander / Webster	Cross-border takeover	Completed	$12.5bn	Geographic scale, creating a top-10 US bank	Bolt-on acquisition in commercial markets

Source: Company reports, ING

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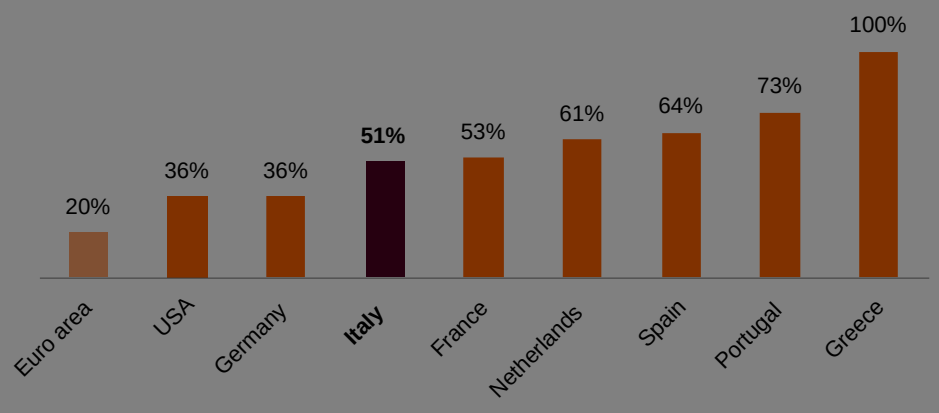
Why is Italy so active in particular? Well, Italy remains quite fragmented (see below) and still offers a large domestic synergy pool, even after the wave of M&A that has already taken place. Furthermore, the country has meaningful industrial scale and offers further revenue diversification opportunities for banks and insurers. Although the obvious combinations are becoming less evident in Italy, we expect this to continue to drive M&A activity in 2027.

Top 5 banks' lending market share by country (2025)



Source: AFME, ING

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Deutsche's return to life insurance after more than a decade.

Consolidation can support bank performance

But does consolidation actually deliver better outcomes? The evidence is not entirely clear-cut, but overall points in the right direction. While increasing scale is not always the best use of capital, in general, more consolidated markets tend to have more stable and, in some cases, higher profitability. The ECB is in favour of further consolidation where appropriate, as it sees the benefits of

diversification and efficiency. On the other hand, capital can be reduced following a merger. This could be a downside, as better capitalised banks tend to enjoy lower funding costs and thus have more room to lend to the real economy.

The outcome therefore depends on the trade-off between longer-term synergies and the upfront capital, execution and integration costs.

ECB data show an association between more concentrated banking markets and profitability. As the chart below shows, countries with a high level of concentration (defined by a higher Herfindahl-

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Herfindahl-Hirschman Index (Sector concentration)

Source: ECB, ING

Similarly, a higher level of market concentration in European countries is associated with a lower cost of risk. The correlation is modest, with some clear outliers, but the numbers show that greater concentration can lead to lower asset quality costs, although the relationship should perhaps not be interpreted as causal. Still, taken together, this suggests that consolidation can improve banking markets.

Cost of risk vs market concentration for European countries (2025)

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clearer than it was even a decade ago. But as the Draghi report noted, the incomplete Banking Union means Europe's banks remain less profitable than their US counterparts.

There is a shift underway, though. The EU Commission plans to table a broad **Banking Package** in the first quarter of 2027, with measures covering cross-border capital and liquidity management, deposit insurance, prudential rules and other items. For M&A, the most important proposals include those to give banking groups more flexibility to allocate capital and liquidity more efficiently within cross-border groups, while also applying more consistent

treatment to intra-group exposures. These remain proposals rather than agreed implementations, meaning their final scope and timetable remain uncertain.

The AFME estimates that regulatory ring-fencing rules mean that some €225bn of capital and €250bn of liquidity is trapped within subsidiaries, which banks cannot freely move between parent and subsidiaries. Freeing this up could also support more cross-border transactions.

Regulatory ring-fencing traps subsidiaries' capital and liquidity

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cross-border M&A. CMDI reform has been passed this year, which could make it easier to deal with failing banks, potentially making consolidation easier as well, although the direct impact on M&A is unclear.

The Danish compromise, which is now embedded into CRR3, allows banks to risk-weight certain insurance subsidiaries rather than deduct them from regulatory capital. This was clarified by the EBA in January 2026, and some banks such as UniCredit have received authorisation to use the Danish Compromise methodology for its insurance subsidiaries. This has improved the economics of

bancassurance and could support further bank-insurance transactions.

On the other hand, national regulatory and political intervention has also put the brakes on M&A in some cases, raising execution costs and uncertainty. BBVA's proposed acquisition of Sabadell in 2024 illustrates the problem. It took 539 days from the announcement in May 2024 to the offer failing in October 2025.

For us, the message seems clear that European regulators are seeking to improve bank competitiveness, and they see consolidation as an important part of this. Looking ahead, re

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so we could see more bolt-ons. In the UK, challenger banks and neobanks are gaining ground while deposit competition remains intense, potentially leading to more activity. The Benelux has potential catalysts following a series of government ownership reductions and increasing inorganic ambitions.

Cross-border activity could also remain elevated, but we think the real litmus test remains the UniCredit-Commerzbank deal, including what happens after completion in terms of execution and integration, a process that is likely to take a few years. The

regulatory environment should also become increasingly more supportive for cross-border M&A from 2027 onwards.

Overall, 2027 could be another interesting year.

M&A is here to stay

European bank M&A has picked up in recent years, and we expect more activity again in 2027, although we do not see a big bang. For investors, positioning is inherently speculative. For bondholders, the main way to gain is by owning the target entity's bonds. However, this is not always the case, and bigger doesn't always mean better, as credit ratings don't necessarily improve either following an

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The Solvency II amendments are unlikely to result in a material increase in demand for bank bonds. Securitisations benefit most directly through lower capital charges, while covered bonds could benefit modestly from the new liquidity-buffer rules

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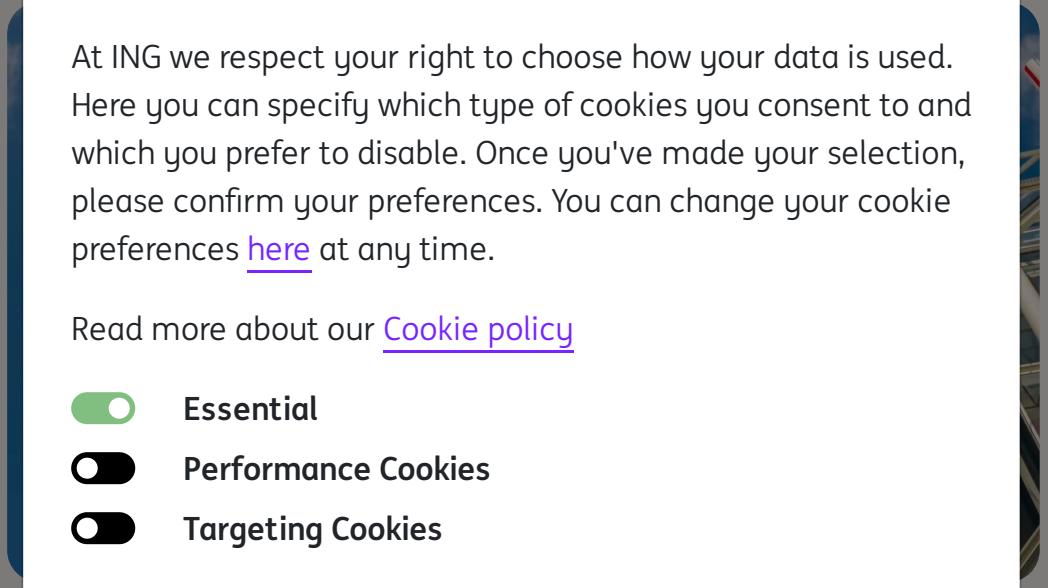

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will apply, making these revisions one of the important regulatory themes for 2027. One of the key objectives of the Solvency II reforms is to release capital and promote long-term investments by European insurance companies in support of the ambitions of Europe's Savings and Investments Union (SIU). Such capital release could also increase the capacity of insurance companies to invest more in corporate and bank bonds.

During the past decade, insurance companies have reduced their bond holdings in favour of equity. Rather than an active reallocation of assets, this partially reflects second-round effects related to the strong equity market growth and the rise in bond

yields and corresponding decline in bond valuations against the backdrop of the ECB rate hikes in 2022 and 2023. Higher yields have also coincided in recent years with a stronger focus by banks on issuance in shorter maturities, rather than the longer maturities traditionally favoured by insurance companies. This has been particularly noteworthy for covered bonds.

Insurance companies increase equity versus debt exposures

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subordinated bank bonds continue to be treated as corporate bonds with capital charges determined by their ratings and duration, while qualifying covered bonds keep their preferential treatment. The impact of the Solvency II revisions therefore arises mainly indirectly through lower overall capital requirements, while securitisations are the only debt instruments benefiting directly through a more favourable capital treatment.

Nonetheless, certain reforms are worth highlighting for their potential impact on insurance demand for different bank bonds. Among these, the amendments relating to long-term equity

investments, securitisations and the volatility adjustment are particularly noteworthy.

1 Long-term equity investments and non-life liquidity buffers

Under Solvency II, insurance companies can classify part of their equity holdings as **long-term equity investments (LTEI)**, benefiting from a lower 22% capital charge. To qualify, these investments must be held for at least five years, be listed in the EEA or OECD, meet diversification standards and be managed under a long-term investment policy. The insurer must also be able to avoid forced s

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- Qualifying **Level 1 assets**, subject to a 0% haircut, are cash, exposures to the ECB, multilateral development banks and international organisations, and domestic currency exposures to EEA central governments and central banks.
- Qualifying **Level 2A assets**, subject to a 15% haircut, are bonds and loans rated AA- or better that are not issued by an insurance company or bank, and covered bonds rated AA- or better as referred to in Article 3(1) of the European Covered Bond Directive (CBD) (ie 'European Covered Bonds').
- Qualifying **Level 2B assets**, subject to a 25% haircut, are Simple, Transparent and Standardised (STS) securitisations (not

originated by group entities) rated AA- or better or that constitute a senior tranche; or subject to a 50% haircut, bonds and loans rated A+ to BBB- that are not issued by an insurance company or bank, and equity investments listed in the EEA or OECD, or traded on multilateral trading facilities, that are not long-term or strategic equity investments and are not investments in an insurance company or bank.

While unsecured bank bonds are excluded as eligible liquid assets, the LTEI-related liquidity buffer approach could generate some additional demand for covered bonds or STS securitisations of banks. However, we don't expect this effect to be significant given t
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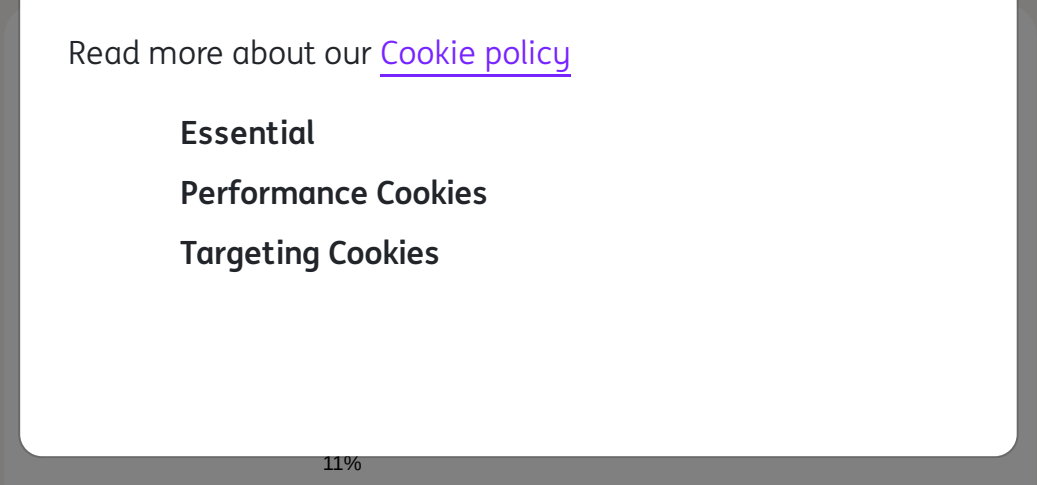

Source: EIOPA, ING

The LTEI liquidity approach is separate from the generic liquidity and concentration risk management requirements under Solvency II, as well as from the obligation under the amended Solvency II Directive to provide for a liquidity risk management plan.

❷ Lower capital requirements for securitisations

The amended Solvency II Delegated Regulation lowers the capital requirements for securitisation notes. This should encourage insurers to invest more in these transactions, helping banks to transfer risk and expand lending.

- The risk factors (a_i and b_i) for the spread risk of senior tranches of STS securitisations will become fully aligned with the treatment of similarly rated covered bonds as referred to in CBD Article 3(1).
- The risk factors for non-senior STS securitisations are reduced to a similar extent, with the new capital charges for AAA-rated non-senior notes at c.70% of the current capital charge, and for

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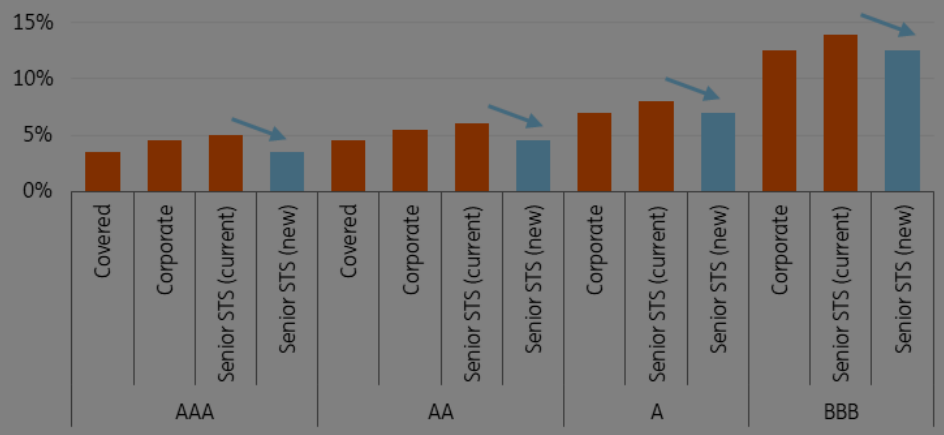
bonds. Further down the rating scale, STS securitisations will be treated closer to that of unsecured bonds from a capital perspective, where corporate and bank unsecured bonds will still benefit from a more favourable capital charge than similarly rated senior STS securitisations.

Securitisation alternatives will become more competitive from a capital perspective



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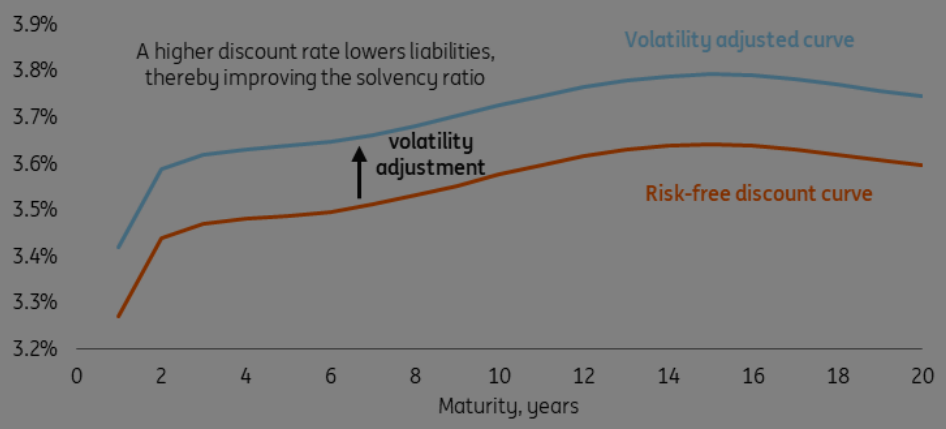
Insurance companies calculate the best estimate of their liabilities by discounting the expected future liability cash flows using the relevant risk-free interest rate term structure. To mitigate the balance sheet impact of bond spread volatility (ie, on the asset side of their balance sheet), insurance companies can discount their liabilities at the risk-free rate plus a volatility adjustment (VA).

The volatility adjustment increases the discount rate

Spot rate, %



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adjustment helps mitigate excessive widening in specific countries.

Under the current regime, the representative currency and country portfolios are constructed as uniform portfolios, even though insurers' actual fixed-income portfolios may differ substantially. Some insurers can therefore benefit excessively from the volatility adjustment if the resulting reduction in the best estimate of their liabilities exceeds the decline in the value of the relevant assets when credit spreads widen.

For this reason, the Solvency II revisions change the calculation of the volatility adjustment by a) making the applicable risk corrections (RC) more spread-sensitive, and b) introducing a credit spread sensitivity ratio (CSSR) to better align the volatility adjustment with the insurer's asset-liability profile. The latter ratio reflects the price value of a basis point of the insurer's bond, securitisation and loan investments versus the price value of a basis point of the best estimate of liabilities, with a minimum of 0 and a maximum of 1.

Moreover, subject to approval by the supervisory authority, an undertaking-specific adjustment (USA) of up to 105% may be a

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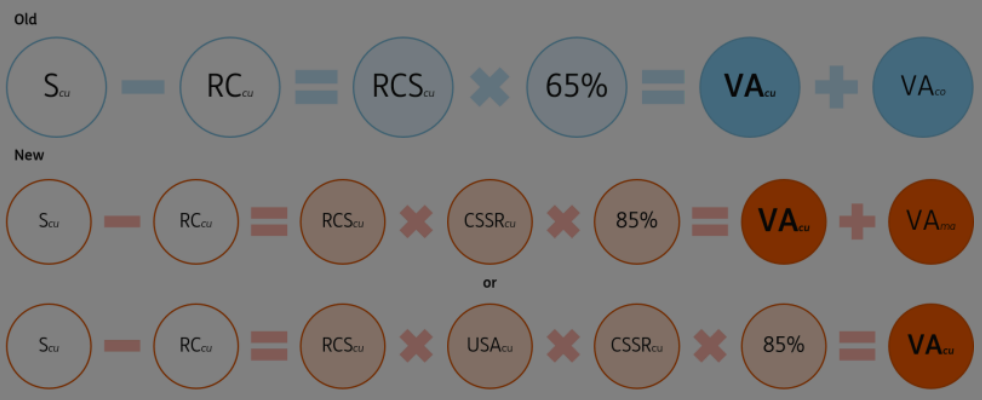
Volatility adjustment calculations



Subscripts cu = currency, co = country, ma = macro; VA = volatility adjustment, S = spread of the reference portfolio, RC = risk correction, RCS = risk-corrected spread of the reference portfolio, CSSR = credit spread sensitivity ratio, USA = undertaking-specific adjustment

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disproportionately from the volatility adjustment when their assets are less spread-sensitive than the reference portfolio.

Conclusion

The Solvency II amendments are unlikely to trigger a material reallocation in favour of bank bonds. Securitisations are the most obvious beneficiaries of a more favourable capital treatment, while covered bonds and unsecured bank bonds should mainly benefit indirectly from lower overall capital requirements for insurers. We

therefore expect the revisions to only support insurer demand for bank bonds at the margin.

Solvency II | Covered bonds | Bank Outlook 2027 | Bank bonds

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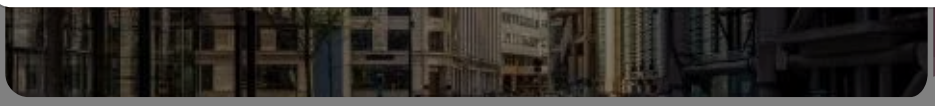

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